

Economy

Business Checkpoint: Bigger and better

24 September 2026

Key takeaways

- Bank of America Institute's Business Checkpoint is a new evolution of our Small Business Checkpoint, broadening the data set from firms with <\$5M in annual revenue to those with <\$50M. Not only does this increase the number of businesses in our dataset, but mid-sized firms generate more than double the share of revenue of smaller firms, according to Census Bureau data.
- Since May, small business profitability growth has exceeded that of mid-sized firms, with hiring-related payments also improving, while mid-sized firms have shown more modest gains across both measures in August, according to Bank of America business account data.
- Meanwhile, payroll growth in August has strengthened among mid-sized firms despite weaker employment gains, while both small and mid-sized businesses have exhibited accelerated AI-related spending growth, suggesting firms are adapting to the current environment in different ways depending on their size.

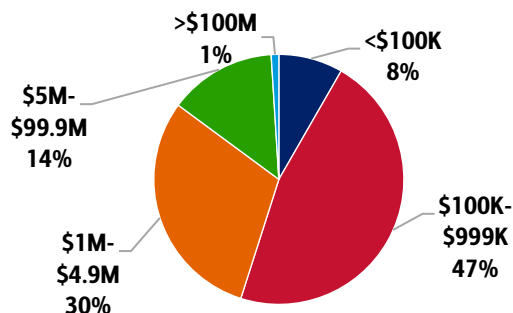
Business Checkpoint is a new, regular publication from Bank of America Institute. It provides a real-time view of the financial health, opportunities and challenges facing small and mid-sized businesses across the US economy, leveraging the depth and breadth of Bank of America's proprietary data. By analyzing activity among both small and mid-sized firms, Business Checkpoint offers timely insights into business profitability, hiring, investment and spending trends. Such data is not intended to be reflective or indicative of, and should not be relied upon as, the results of operations, financial condition or performance of Bank of America.

Not just small anymore: Expanding the data pool

Business Checkpoint is designed to provide a broader view of the forces shaping business performance in the US economy. While our previous Small Business Checkpoint focused on firms with less than \$5 million in annual revenue (i.e. small firms), this expanded analysis also incorporates firms with annual revenues between \$5 million and \$50 million (i.e. mid-sized). Together, these businesses offer a more complete picture of profitability, hiring and investment trends across Main Street.

Exhibit 1: Around 15% of establishments generate >\$5M in annual operating revenue

Share of establishments that operated for an entire year by annual operating revenue (%)

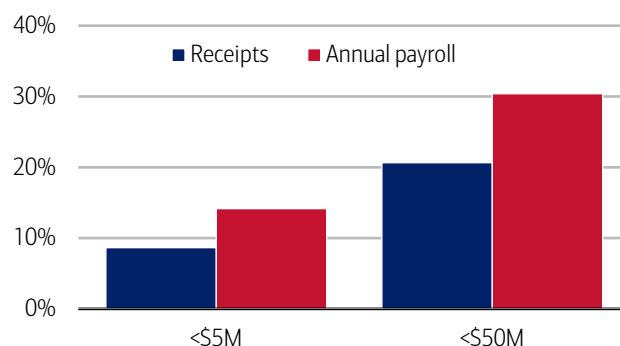


Source: Census Bureau

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Exhibit 2: More than 20% of annual receipts come from those enterprises with <\$50M in annual revenue

Share of receipts and annual payroll by enterprise size (% of total, 2022)



Source: Census Bureau

Note: Gross receipts are the total amounts the organization received from all sources during its annual accounting period, without subtracting any costs or expenses.

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Census Bureau data shows that while very small firms remain numerous, a significant share of establishments generate annual revenues above \$5 million (Exhibit 1). While mid-size firms account for a smaller share of business establishments than small firms, they often serve as a bridge between local businesses and large corporations and more than 20% of receipts come from

those enterprises with <\$50M in annual revenue, according to Census Bureau data (Exhibit 2). This is more than twice as much as those with <\$5M.

Does more revenue mean higher profits?

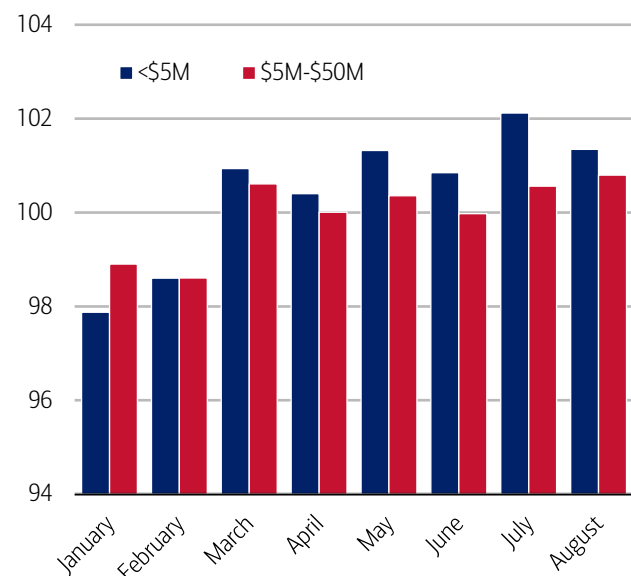
A recent defining trend for small firms has been the recovery in profitability growth over the summer following a period in which firms faced a succession of pressures, including weather-related disruptions and tariffs (read more on this in the [April Small Business Checkpoint](#)). Does this trend apply to larger companies?

Using Bank of America business account data, the profitability ratio for both firm sizes was above their 2025 average in August (Exhibit 3). For mid-sized firms, we find profitability growth has also improved in the last few months but remained below small firms' growth in August (Exhibit 4).

The reversal is notable because small businesses spent much of the past year under greater pressure, and their recent outperformance suggests some of the most acute headwinds facing smaller firms may be beginning to ease. Although, actual sales worsened in August, according to the September National Federation of Independent Business (NFIB) report. This was down from July and the lowest reading since November 2025.

Exhibit 3: In August, the profitability ratios for both revenue tiers of businesses were above the 2025 average

Inflow-to-outflow ratio by annual revenue (monthly, three-month moving average, indexed, 2025 average = 100)

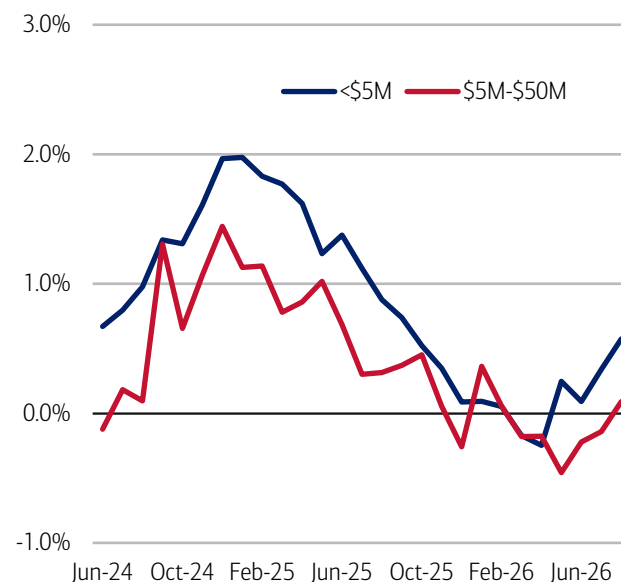


Source: Bank of America internal data

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Exhibit 4: Small business profitability growth continued to outpace mid-sized business profitability growth in August

Inflow-to-outflow ratio by annual revenue (monthly, six-month moving average, year-over-year (YoY)%)



Source: Bank of America internal data

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Tariff refunds may offset only part of rising cost pressures

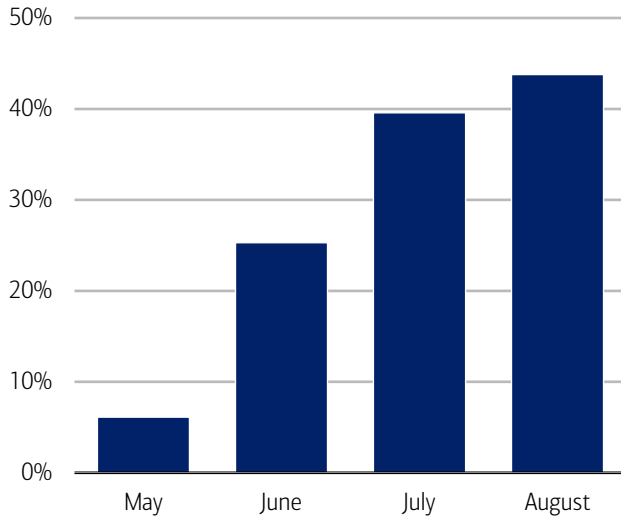
One tailwind for firms' cash buffers is the ongoing tariff refund dispersal. According to Bank of America account data, around 44% of estimated IEEPA-related (International Emergency Economic Powers Act) tariff payment amounts have been refunded to firms with <\$50M in annual revenue as of August (Exhibit 5). This is up from around 5% in May, suggesting tariff refunds are reaching firms relatively quickly and potentially providing a near-term boost to cash buffers for some businesses.

However, these refunds may provide only temporary relief if input costs continue to rise faster than revenues. The August Producer Price Index (PPI) data indicated that producer prices are increasing faster year-over-year (YoY) than consumer prices, suggesting firms remain exposed to ongoing margin pressure.

The divergence is especially evident in energy-related inputs, with diesel prices up nearly 80% YoY in August (Exhibit 6). As a result, firms within agriculture, transportation or construction may face prolonged cost pressures (read more on rising fuel costs impacting small business margins in the [June Small Business Checkpoint](#)).

Exhibit 5: Around 44% of estimated IEEPA-related tariff payment amounts have been refunded to firms with <\$50M in annual revenue as of August

Share of IEEPA-related tariff* payments refunded for firms with <\$50M in annual revenue (% monthly)



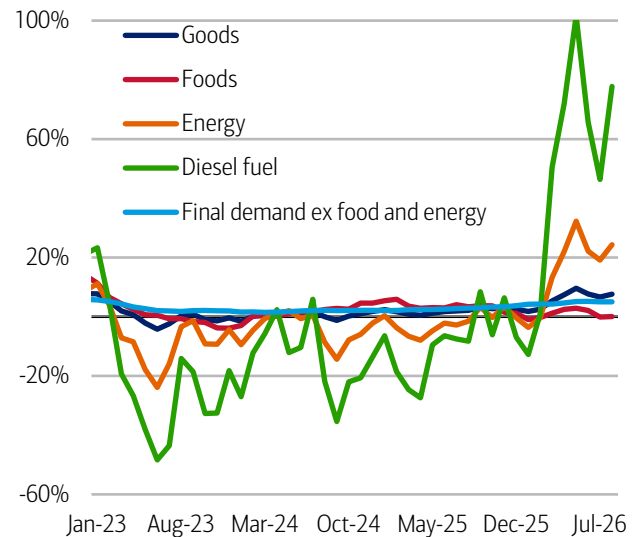
Source: Bank of America internal data

Note: IEEPA-related tariffs are proxied by identifying tariff payments to Customs and Border Protection during the April 2025-February 2026 time period minus the previous 12-month rolling average.

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Exhibit 6: Diesel costs within the Producer Price Index were up nearly 80% YoY in August

Final demand PPI (monthly, YoY%, seasonally adjusted)



Source: Haver Analytics

Note: Final demand ex (excluding) food and energy is overall final demand PPI excluding those categories.

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The labor market looks to be broadening

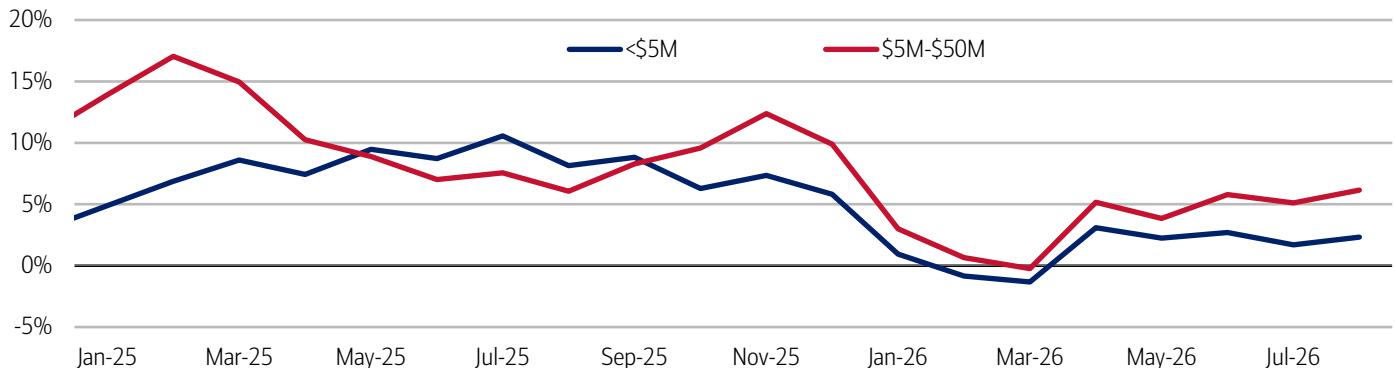
Business profitability and hiring often move together, but not always at the same pace. As firms navigate slower growth and elevated operating costs, both official employment data and Bank of America payment flows offer insight into whether firms are expanding their workforce, maintaining staffing levels, or becoming more cautious about future hiring.

Bank of America payroll payments per business client show a significant improvement at these firms compared with a year ago, with small business payroll growth still positive but not as strong (Exhibit 7). Yet, according to Automated Data Processing (ADP), firms with 50-499 employees have lagged with adding headcount over the course of this year compared to last.

If these firms have added fewer jobs, why has their payroll growth accelerated? There are a few reasons for this, as payroll growth reflects more than headcount. For one, payroll growth could reflect providing larger raises to existing workers, rather than adding workers. This could also be why Bank of America internal deposit data shows workers across the income spectrum, especially in lower-income households, have seen notable wage growth recently (read more on this in the [August Institute Employment Report](#)).

Exhibit 7: Mid-sized businesses' payroll growth was up 6.2% YoY compared to small firms' growth of 2.3% YoY

Payroll growth per business client by annual revenue (YoY%, three-month moving average, monthly)



Source: Bank of America internal data

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Small businesses outpace mid-sized firms' hiring momentum

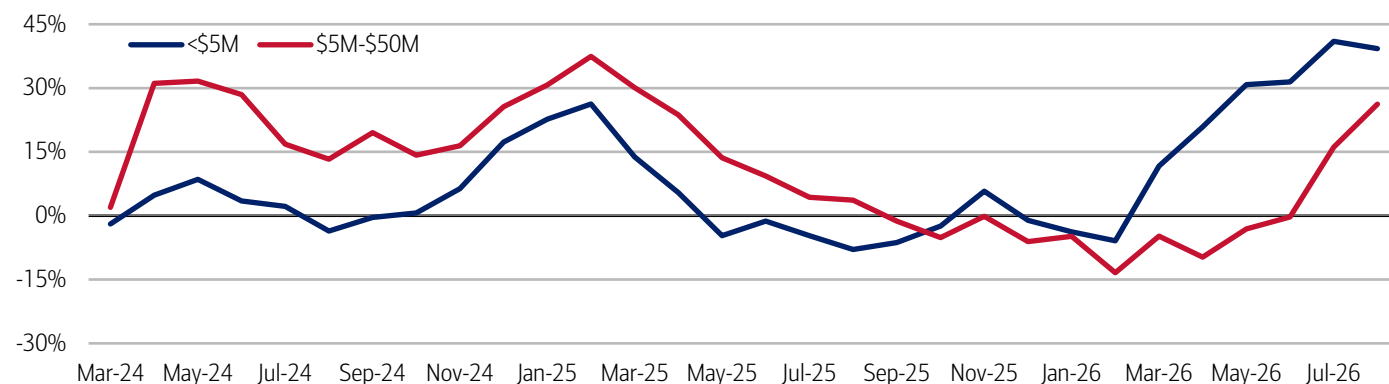
A firm could keep employment unchanged, increase overtime or raise average weekly hours and still generate faster payroll growth (read more on weekly-paid workers' wage gains from job switching in September's [Switching 9 to 5s](#)). This often happens when firms are uncertain about demand and, instead of hiring new workers, they ask existing workers to work more.

In fact, looking at Bank of America business payments to hiring firms, small business hiring activity has improved in recent months, while hiring-related payments among mid-sized firms just recently started to improve in July (Exhibit 8).

According to the most recent NFIB survey, concerns about labor quality and availability and labor costs eased in August, with the share of owners citing labor costs as their single most important problem falling to its lowest level since March 2021.

Exhibit 8: Small business payments to hiring firms have accelerated since March 2026, whereas mid-sized picked up in the last two months

Business payments to hiring firms per client by annual revenue (YoY%, monthly, three-month moving average)



Source: Bank of America internal data

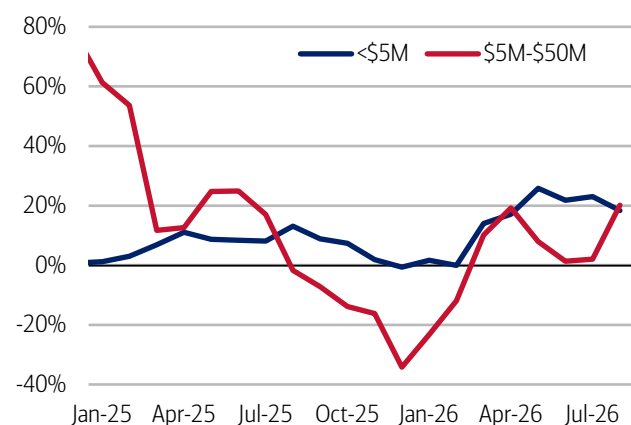
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AI-related spending growth is ramping up across firms

In addition to ramping up hiring, AI-related spending growth (see Methodology) among mid-sized firms has recently exceeded that of small businesses – 20.1% YoY compared to 18.4% YoY in August – suggesting firms may be moving quickly this year to adopt productivity-enhancing technologies (Exhibit 9). For businesses operating with lean staffing models and facing continued cost pressures, AI tools may provide a relatively inexpensive way to automate routines, expand capabilities and support growth.

Exhibit 9: Both small and mid-sized businesses' AI-related spending growth was around 20% YoY in August

AI-related spending per business client by business size (YoY%, monthly, three-month moving average)



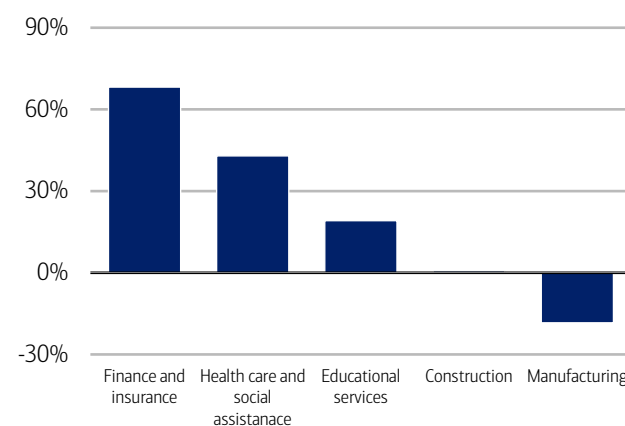
Source: Bank of America internal data

Note: AI-related spending is comprised of both AI companies and technology firms with AI capabilities.

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Exhibit 10: Among mid-sized firms, finance and insurance as well as health and education services have seen the strongest AI-related spending growth

AI-related spending growth per mid-sized client by industry in August (YoY%, three-month moving average)



Source: Bank of America internal data

Note: AI-related spending is comprised of both AI companies and technology firms with AI capabilities.

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Importantly, rising AI-related spending has coincided with improving hiring activity among both small and mid-sized firms. The combination of stronger AI-related spending and improving hiring activity suggests these technologies may be complementing,

rather than replacing, labor (read more on AI's near-term impact in May's [Adaptability is the new job security: AI and the future of work](#)).

Previously, Bank of America data showed this kind of spending growth was strongest among small firms operating in the retail space (read more on this in the [March Small Business Checkpoint](#)). Interestingly, among mid-sized firms, the strongest adoption appears concentrated in service-oriented industries where administrative work, analysis, documentation and communication are common tasks where AI tools can augment productivity and help employees complete work more efficiently (Exhibit 10).

Higher rates may test business borrowing

Spending on AI has become a fast-growing component of small business capital expenditure (capex), and Bank of America data has recently pointed to stronger lending activity among small firms (read more on this in the [July Small Business Checkpoint](#)).

Plus, in the September NFIB survey, the net share of owners expecting easier credit conditions rose two percentage points to negative 2% - the highest reading since December 2024. Similarly, the July 2026 Senior Loan Officer Opinion Survey indicated that demand for commercial and industrial (C&I) loans was largely unchanged, suggesting firms remain willing to borrow despite an uncertain economic backdrop.

However, there are also signs that small business debt pressure may be beginning to build. Average small business credit card balances were up more than 11% above their 2024 average in August, while utilization rates were up just 2%, suggesting a greater share of firms may be carrying balances from month-to-month (Exhibit 12). Consistent with this view, the share of Bank of America small business credit card clients making only the minimum payment each month has also risen this year, mirroring a similar trend among consumers (read more on this in the [August Consumer Checkpoint](#)).

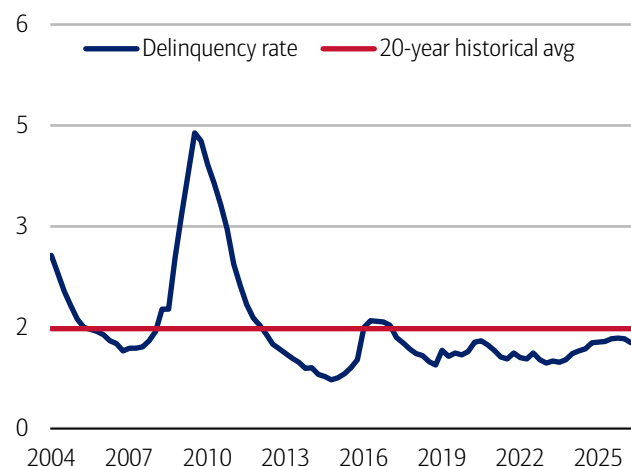
Delinquency rates remain below 20-year historical average

With the Fed raising interest rates, what does this mean for businesses? Historically, Fed rate hikes have been a headwind for small business borrowing because higher interest rates raise financing costs and tend to weigh on both the supply and demand for credit. Mid-sized businesses would likely continue to face this headwind as well, in our view.

The silver lining is that delinquency rates on C&I loans remained below their 20-year historical average and declined slightly in the second quarter of 2026 (Exhibit 11). This suggests firms generally remain in a position to absorb higher borrowing costs, though a higher-rate environment could weigh on future investment, hiring and capex plans.

Exhibit 11: In the second quarter of 2026, delinquency rates for C&I loans ticked down slightly relative to the start of the year

C&I loans delinquency rate (%), quarterly, seasonally adjusted

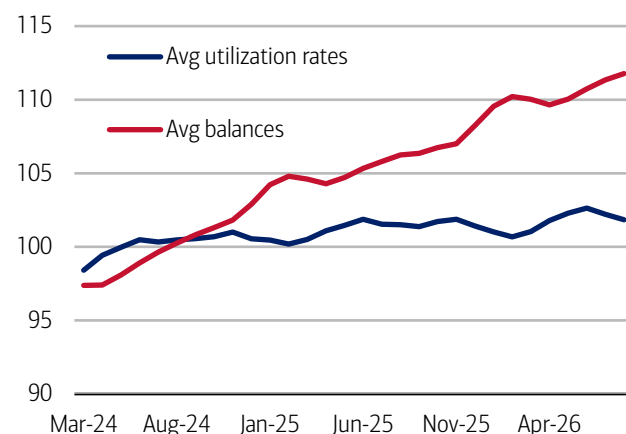


Source: Haver Analytics

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Exhibit 12: Average small business credit card balances were up more than 11% above their 2024 average in August, while utilization rates were up just 2%

Bank of America small business credit card averages (monthly, indexed, 2024 average = 100, three-month moving average)



Source: Bank of America internal data

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Methodology

Selected Bank of America transaction data is used to inform the macroeconomic views expressed in this report and should be considered in the context of other economic indicators and publicly available information. In certain instances, the data may provide directional and/or predictive value. The data used is not comprehensive; it is based on **aggregated and anonymized** selections of Bank of America data and may reflect a degree of selection bias and limitations on the data available.

Any **Business** payments data represents aggregate spend from Small Business and/or Business Banking clients with a deposit account or a Small Business credit card. Payroll payments data include channels such as ACH (automated clearing house), bill pay, checks and wire. Bank of America per Business client data represents activity spending from active Business clients with a deposit account or a Small Business credit card and at least one transaction in each month. Small businesses in this report include business clients within Bank of America and are generally defined as under \$5mm in annual sales revenue. Mid-sized businesses in this report include business clients within Bank of America and are generally defined as \$5mm-\$50mm in annual sales revenue.

Unless otherwise stated, data is not adjusted for seasonality, processing days or portfolio changes, and may be subject to periodic revisions.

Revenue tiers are determined by the combination of following factors: 1) stated revenue on small businesses credit applications, 2) actual account inflow into Bank of America Deposit Accounts, and 3) third party revenue estimation.

The alternative hiring indicator consists of payments from Bank of America business clients to business-focused hiring firms which include both direct deposits through Automated Clearing House (ACH) and payments via credit and debit cards.

AI-related spending is comprised of both AI companies and technology firms with AI capabilities. These are identified from merchant names and MCC codes.

Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

Additional information about the methodology used to aggregate the data is available upon request.

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Economy

The hobby economy and the price of fun

23 September 2026

Key takeaways

- Consumers are spending more on hobbies. Hobby spending rose 7.9% year-over-year (YoY) in August, but this was more than double the pace of transaction growth, suggesting the reemergence of "funflation" in hobbies, according to Bank of America card data.
- Older Millennials are the biggest hobby spenders, according to Bank of America card data, despite having the least amount of leisure time of any generation. They also have the highest share of the population with hobby spending, though this likely reflects both personal interests and spending on their kids.
- Gen Z's hobby habits are evolving. While hobby purchases have slowed sharply, younger consumers continue to devote significant leisure time to gaming, with over a quarter of Gen Z having some type of online or video game spending, according to Bank of America card data.

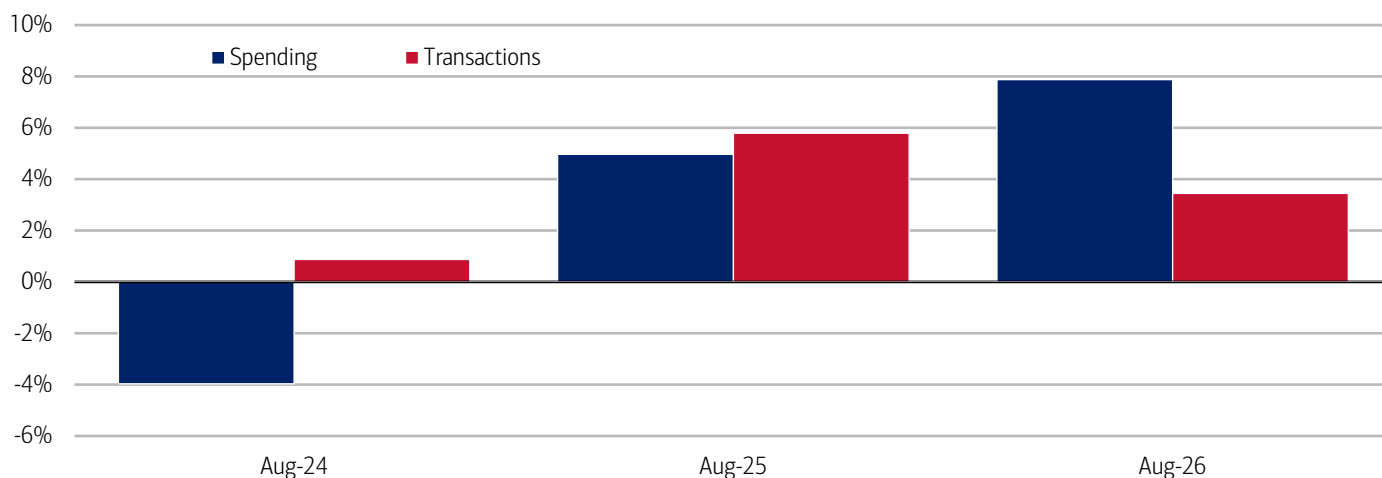
Spending grows over twice as fast as transactions in August

Bank of America card data suggests we're seeing some "funflation" (the rising price of fun) in hobbies – defined here as arts and crafts stores, hobby shops and outdoor recreation service providers and retailers that specialize in activities like hiking, camping, skiing and scuba diving (see Methodology).

Using our definition, spending on hobbies grew 7.9% year-over-year (YoY) in August 2026. This was over twice as fast as transaction growth, which was up a solid 3.4% YoY (Exhibit 1). This is the opposite of last August, when transactions outpaced spending by nearly a percentage point. It's also a stark contrast from 2023, when spending fell nearly 4% YoY and transactions were up almost 1%.

Exhibit 1: Spending grew at twice the rate of transactions in August 2026

Spending and transaction growth per household on hobbies (three-month moving average, YoY%)



Source: Bank of America internal data

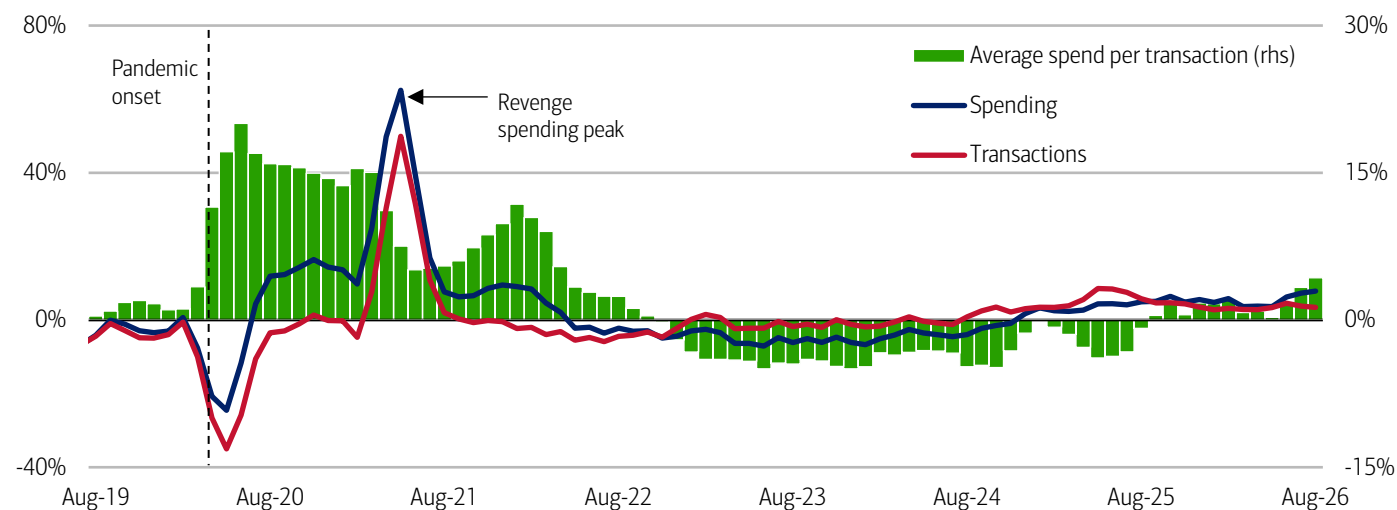
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Looking across a longer period, we see that spending growth also outpaced that of transactions throughout the pandemic (Exhibit 2). Transactions began declining in 2021, with spending following suit in mid-2022. In fact, spending declined faster than transactions from 2023 until late 2024, with both improving the following year.

In our view, it's likely that people splurged on hobbies amid social distancing during the pandemic, then gravitated back toward pricier alternatives like travel throughout 2022 and 2023. However, last year there may have been some rotation back to less expensive leisure like hobbies as after-tax wage growth slowed considerably (read more in [Consumer Checkpoint: Still sizzling](#)). Bank of America card data suggests there's been a recent acceleration in hobby spending in the past few months, possibly as some consumers balance shift away from travel due to higher prices from rising fuel costs.

Exhibit 2: Spending growth outpaces transaction growth, while the opposite was true from mid-2022 until the end of 2024

Spending and transaction growth per household on hobbies (three-month moving average, YoY%) and average spending per transaction growth per household on hobbies (three-month moving average, YoY%, right-hand side (rhs))



Source: Bank of America internal data

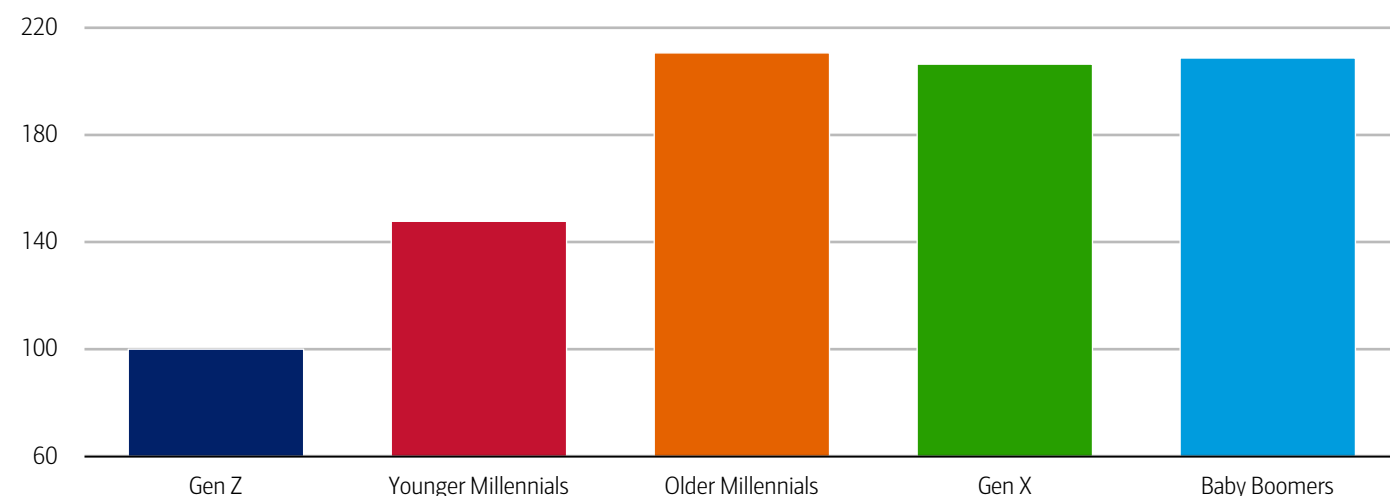
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Older Millennials claim the hobbies crown, while Gen Z lags behind

Looking across generations, Bank of America card data suggests that older Millennials spend the most per customer on hobbies, followed closely by Baby Boomers and Gen X, while Gen Z spends the least (Exhibit 3).

Exhibit 3: Older Millennials spend the most on hobbies, followed by Baby Boomers and Gen X

Average spending per customer by age generation (three-month moving average to August 2026, index Gen Z = 100)



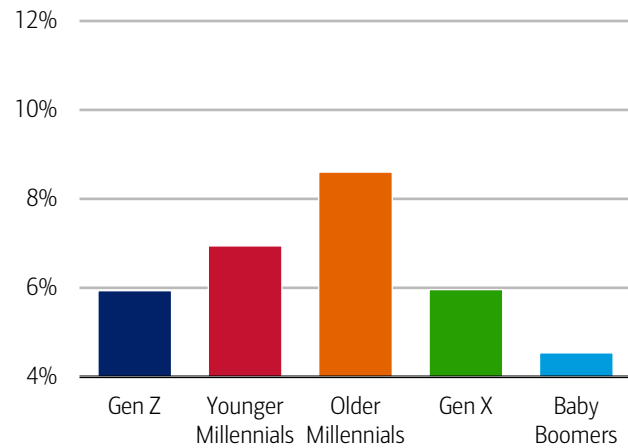
Source: Bank of America internal data

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Older Millennials also boast the largest share of their population with hobby spending (Exhibit 4 and Exhibit 5). In our view, it's likely because this group is most likely to have young children. Which may mean older Millennials not only spend on their own hobbies but on their kids' as well.

Exhibit 4: A larger share of Gen Z and younger Millennials have outdoor recreation spending than Gen X and Baby Boomers, though older Millennials boast the highest share

Share within each generation of customers with outdoor recreation spending (three-month moving average to August 2026, %)

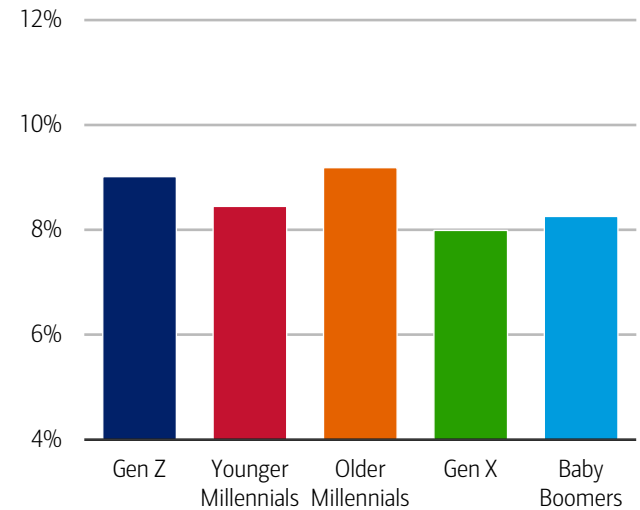


Source: Bank of America internal data

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Exhibit 5: A larger share of Gen Z and older Millennials have arts, crafts and hobby shop spending compared to other generations

Share within each generation of customers with arts, crafts and hobby shop spending (three-month moving average to August 2026, %)



Source: Bank of America internal data

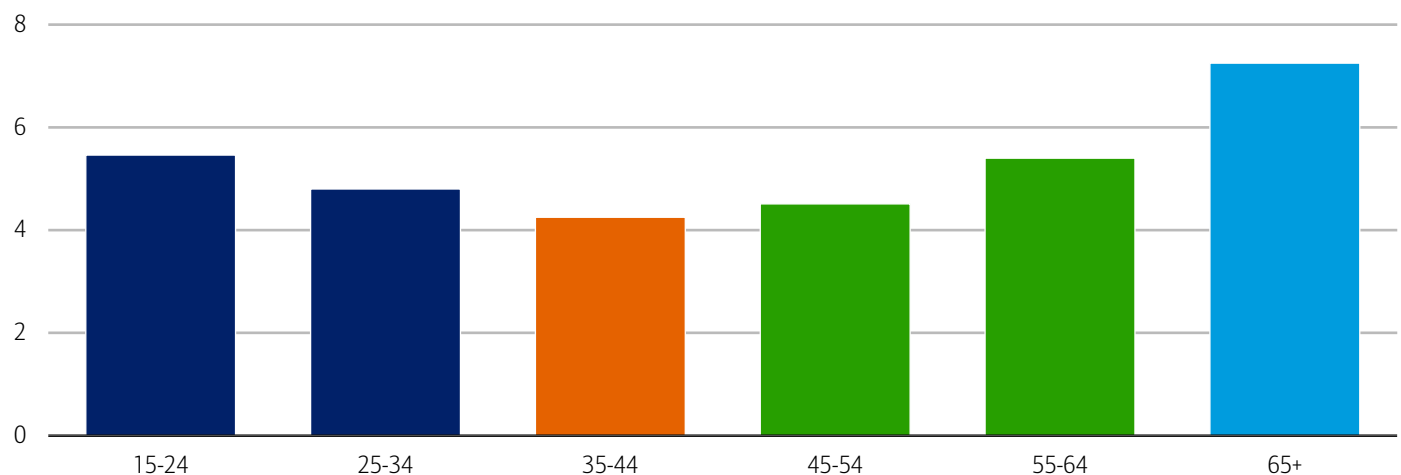
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The idea that older Millennials are likely spending on themselves and their kids is supported by data from the American Time Use Survey (ATUS) conducted by the US Census Bureau. That survey suggests that older Millennials have the least amount of leisure time, with only around four hours and fifteen minutes on average per day (Exhibit 6). Meanwhile, the two groups between ages “15 and 24” and “55 and 64” have nearly five and a half hours per day, with those 65 and older boasting over seven hours of leisure time per day.

On the other hand, younger Millennials and Gen Z have the lowest average spending, but a higher share of their population with hobby outlays. To us, this suggests that these generations are likely gravitating most of their spending toward less expensive hobbies like arts, crafts and board games.

Exhibit 6: Leisure time varies considerably by age range, with those 35 to 44 years old having the lowest amount

Hours of leisure time including sports and travel by age range (hours, average time per participant)



Source: US Census Bureau American Time Use Survey

Note: Colors aligned to the best possible fit given the age ranges. There are some Gen Z in the age range between 25 and 34 years old. There are also some Millennials in the 45 to 54 year old range and some Baby Boomers in the 55 to 64 years old range.

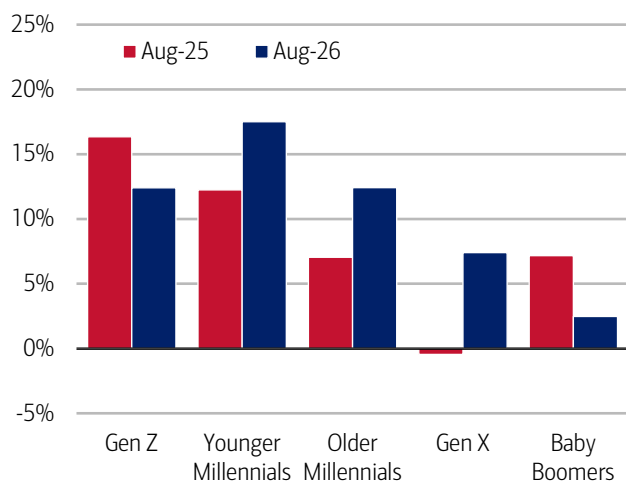
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Gen Z consumers slow hobby purchases...

Additionally, while younger and older Millennials as well as Gen X appear to be ramping up hobby spending, Baby Boomers and Gen Z are slowing theirs (Exhibit 7). Notably though, Gen Z's slowdown in purchases has been stark. Transaction growth was near zero in August 2026, a dramatic slowdown compared to the nearly 16% YoY increase the prior year, according to Bank of America card data (Exhibit 8).

Exhibit 7: Millennials and Gen X are ramping up hobby spending, while Gen Z and Baby Boomers are winding it down

Spending per customer on hobbies by age generation (three-month moving average, YoY%)

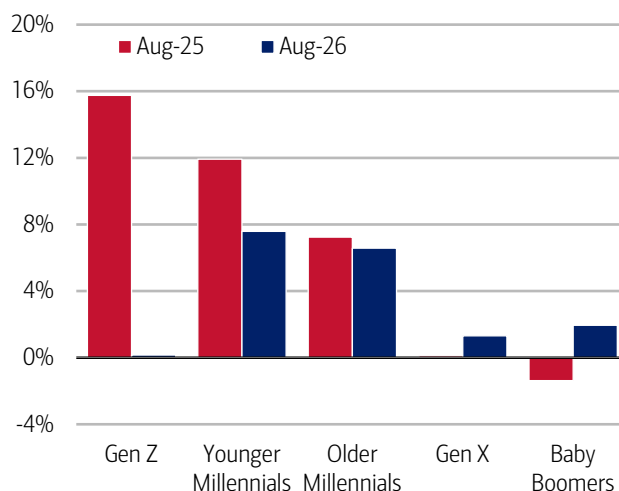


Source: Bank of America internal data

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Exhibit 8: Gen Z saw a significant slowdown in hobby-related transactions

Purchases per customer on hobbies by age generation (three-month moving average, YoY%)



Source: Bank of America internal data

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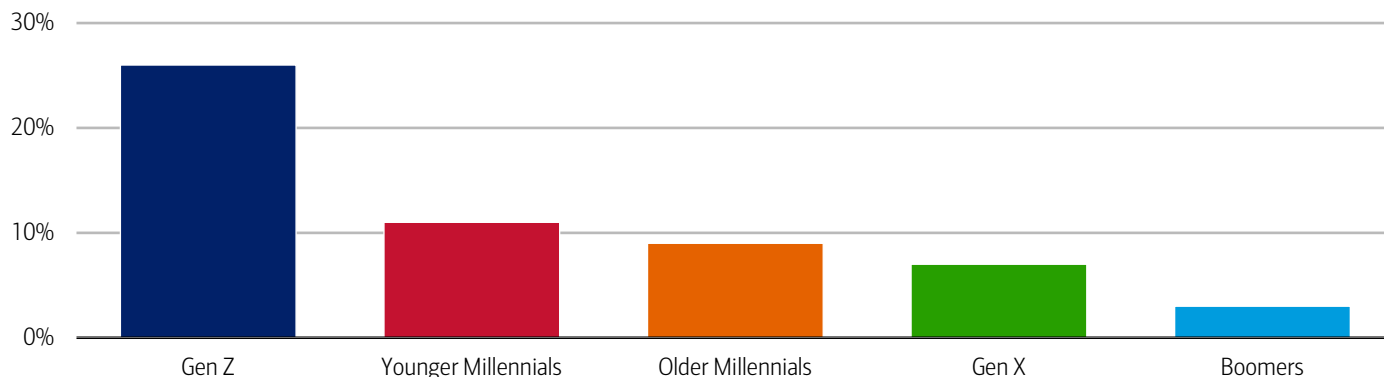
This slowdown was driven by a significant decrease in spending on outdoor recreation, offsetting increases in arts and crafts retailers and hobby shops. In our view, the prior year's transactions may have been boosted by purchases of longer-lasting items, such as hiking boots, which don't need to be bought as frequently. It's also possible that this reflects a shift to more "granny core" activities like knitting, sewing, or baking (arts and crafts).

...and ramp up their gaming spend

Additionally, some transactions at hobby shops may require less frequent purchases like board games or tabletop role-playing games. The social component to these activities can't be overlooked as a factor. In fact, over a quarter of Gen Z said they feel a sense of belonging to a streaming or gaming community, according to a Bank of America survey (Exhibit 9). This is almost two and half times as high as younger Millennials and over eight times the rate of Baby Boomers.

Exhibit 9: Gen Z is over twice as likely to feel a sense of community or belonging to a streaming or gaming community than any other generation

The share of those that answered "gaming" to the question "Outside of your family, in which places or groups do you currently feel a sense of community or belonging?" by age generation (see Methodology for time period, %)



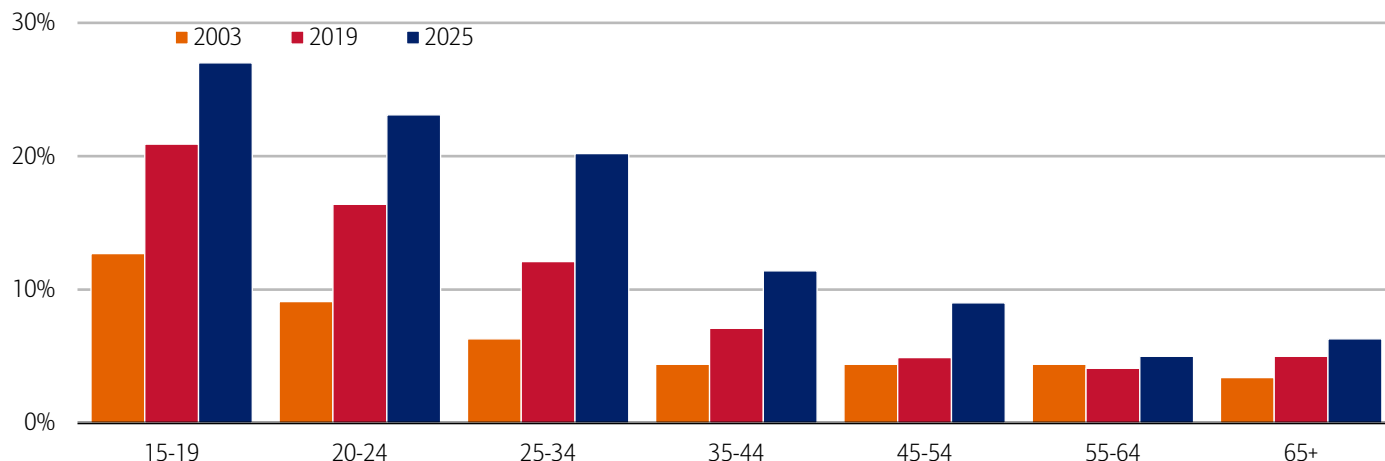
Source: Bank of America internal data

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Also, Gen Z spends anywhere between 20 and 25% of their leisure time playing games or using a computer, according to the ATUS (Exhibit 10). This is nearly twice the rate of Millennials and a threefold increase compared to young adults (ages 25 to 34 years old) from two decades ago. And while a portion of this shift certainly reflects an increase in social media use (read more in [Wellness, part 5: Lost in the scroll](#)), it likely also reflects an increase in time spent playing video games.

Exhibit 10: People 25 to 34 years old spend nearly one out of every five minutes of their leisure time playing games or using a computer, over three times the rate seen in 2003 when nearly one in every seventeen leisure minutes was spent this way

Share of leisure time spent playing games or using a computer (annual, %)



Source: US Census Bureau American Time Use Survey

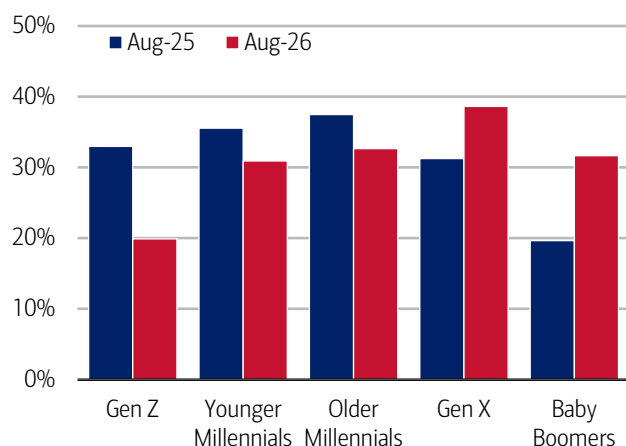
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Gen Z has seen their video game spending increase by around 20% YoY in August, after an increase of over 30% YoY in the year prior, according to Bank of America payments data (Exhibit 11). And this is while boasting the highest average spending as well, with over three and a half times more video game spending than Baby Boomers and almost twice as much as Gen X (Exhibit 12).

Bank of America payments data also suggests that over a quarter of Gen Z have video game spending, over four times the rate of Baby Boomers (Exhibit 13). Younger Millennials have the next highest rate at over 23%, with about one in five older Millennials having video game spending.

Exhibit 11: Video game spending growth has been robust across all age groups

Spending per customer on video or online games by age generation (three-month moving average, YoY%)

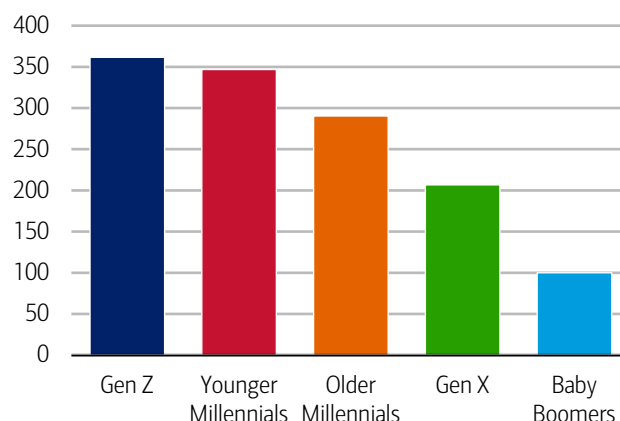


Source: Bank of America internal data

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Exhibit 12: Younger generations spend considerably more on video games on average

Average video or online games spending per customer by age generation (three-month moving average to August 2026, index Baby Boomers? = 100)

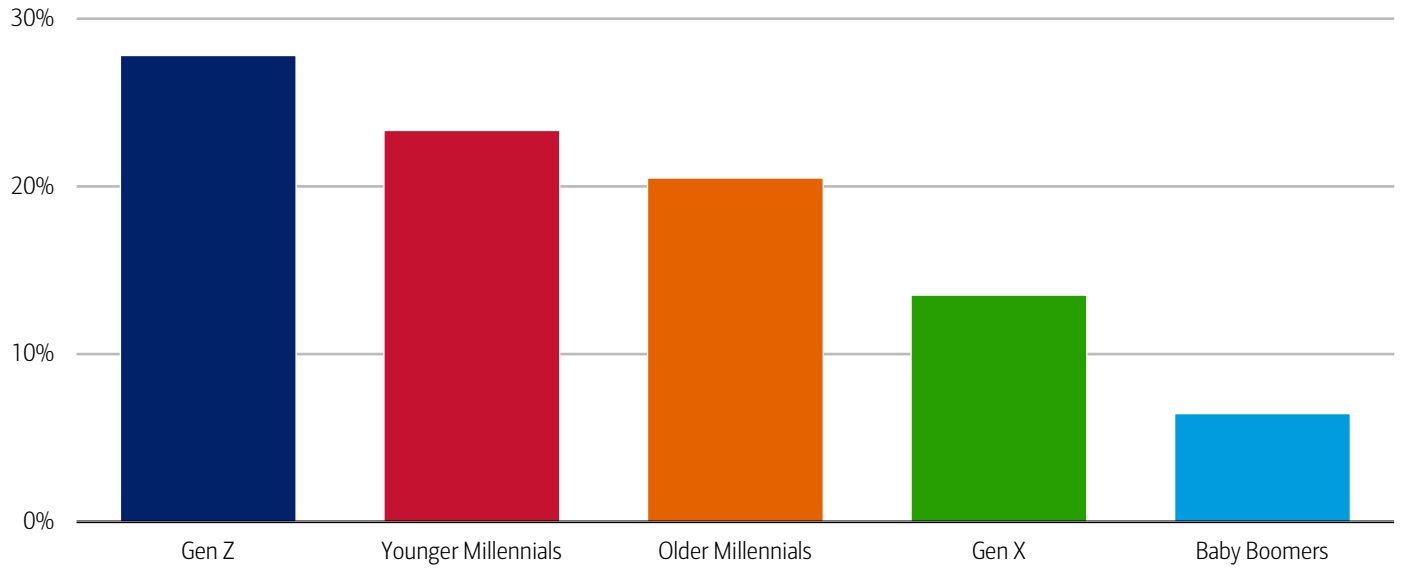


Source: Bank of America internal data

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Exhibit 13: Almost 28% of Gen Z have online or video game spending, over twice the rate of Gen X

Share within each generation of customers with video or online games spending (three-month moving average to August 2026, %)



Source: Bank of America internal data

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5. Other differences including household formations due to young adults moving in and out of their parent's houses during COVID.

Any household consumer deposit data based on Bank of America internal data is derived by anonymizing and aggregating data from Bank of America consumer deposit accounts in the US and analyzing that data at a highly aggregated level. Whenever median household savings and checking balances are quoted, the data is based on a fixed cohort of households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through the most current month of data shown.

Bank of America aggregated credit/debit card spending per household includes spending from active US households only. Only consumer card holders making a minimum of five transactions a month are included in the dataset. Spending from corporate cards are excluded. Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

Hobby spending includes spending across all payment vehicles at arts and crafts stores, hobby shops, ski resorts, scuba retailers and rentals, adventure activities, educational toys, outdoor retailers and some toy stores. Not included in this analysis are some hobbies like golf or travel, due to further analysis in other pieces. Also not included are more digital forms of entertainment like video games, though this category is included as a separate analysis.

Includes a reference to Bank of America's Navigator Survey's question "Outside of your family, in which places or groups do you currently feel a sense of community or belonging? (Select all that apply)." The survey was conducted between January 16 and 22, 2026 and included 2,041 participants.

Lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between these terciles will move over time, reflecting any number of factors that impact income, including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

Generations, if discussed, are defined as follows: Gen Z, born after 1995; Younger Millennials: born between 1989-1995; Older Millennials: born between 1978-1988; Gen Xers: born between 1965-1977; Baby Boomer: 1946-1964; Traditionalists: pre-1946. Our Gen Z analysis only includes spending by people that are 18 years or older and likely reflects the trends from the members of this generation who are living on their own.

Any reference to card spending per household on gasoline includes all purchases at gasoline stations and might include purchases of non-gas items.

Additional information about the methodology used to aggregate the data is available upon request.

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Economy

Energy bills: Short-term relief, longer-term challenges

16 September 2026

Key takeaways

- Energy bill inflation was around 4% year-over-year (YoY) in August 2026. However, Bank of America internal deposit data shows average utility bill payments rose faster, increasing 5% YoY from June through August. This was likely due, in part, to higher cooling demand during a warm summer.
- But bill pressures remain highly uneven across the country. Average utility payments have risen by more than 10% YoY in cities such as Detroit, Baltimore and Washington DC, while consumers in Orlando, San Jose and Tampa have seen declines. Some of these regional differences appear to reflect policy and infrastructure factors as much as energy usage itself.
- The long-term outlook still points to upward pressure on electricity bills as demand from data center construction, electrification and broader economic activity drive the need for additional generation and grid investment. However, a forecasted strong El Niño event this winter could provide some near-term relief, if warmer-than-normal temperatures reduce household heating demand, partially offsetting structural cost pressures.

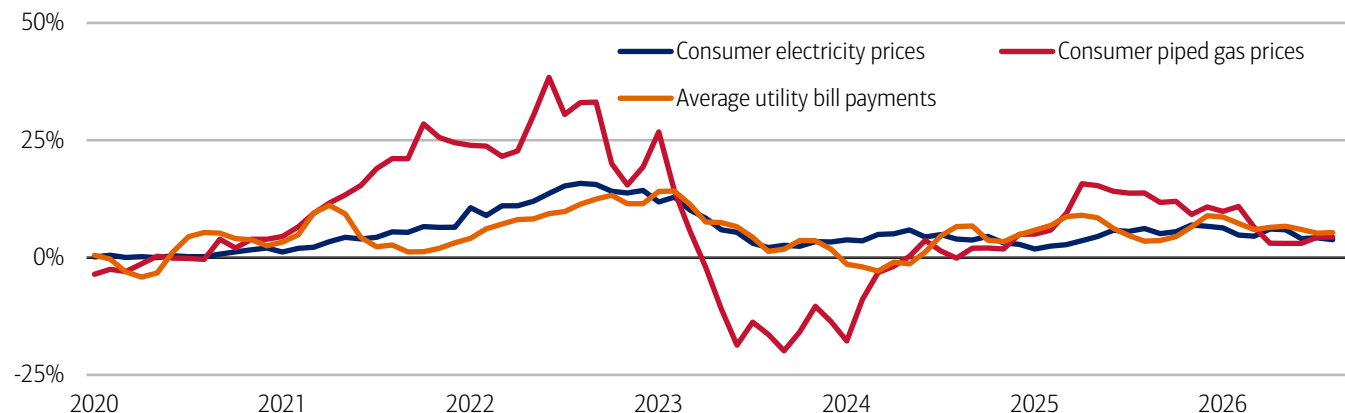
Energy bill inflation has moderated

Energy is an essential household expense. According to Bureau of Labor Statistics data, energy bills accounted for roughly 3% of total household spending as of 2024. US utility prices have been far less affected by higher global oil prices stemming from the conflict in the Middle East than gasoline prices, largely because the US is a net exporter of natural gas. Nonetheless, the cost of energy has been rising for a prolonged period: since January 2024 the price of electricity has risen 10% and the price of piped gas is up 18%.

The better news is that utility price inflation has moderated relative to the second half of 2025 and early 2026. As of August, electricity and piped gas prices were up around 4% year-over-year (YoY). But Bank of America internal deposit data shows that average utility payments for electricity and gas were running ahead of inflation in these categories, up 5.3% YoY. One reason could be that household demand for cooling was strong this summer, due to relatively warm weather (Exhibit 1).

Exhibit 1: Utility bill payments rose around 5.3% YoY in August

Consumer prices for electricity and piped gas (% YoY) and three-month average monthly utility payments per customer based on Bank of America internal deposit data (% YoY)



Source: Haver Analytics, Bank of America internal data

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Energy costs vary widely by region

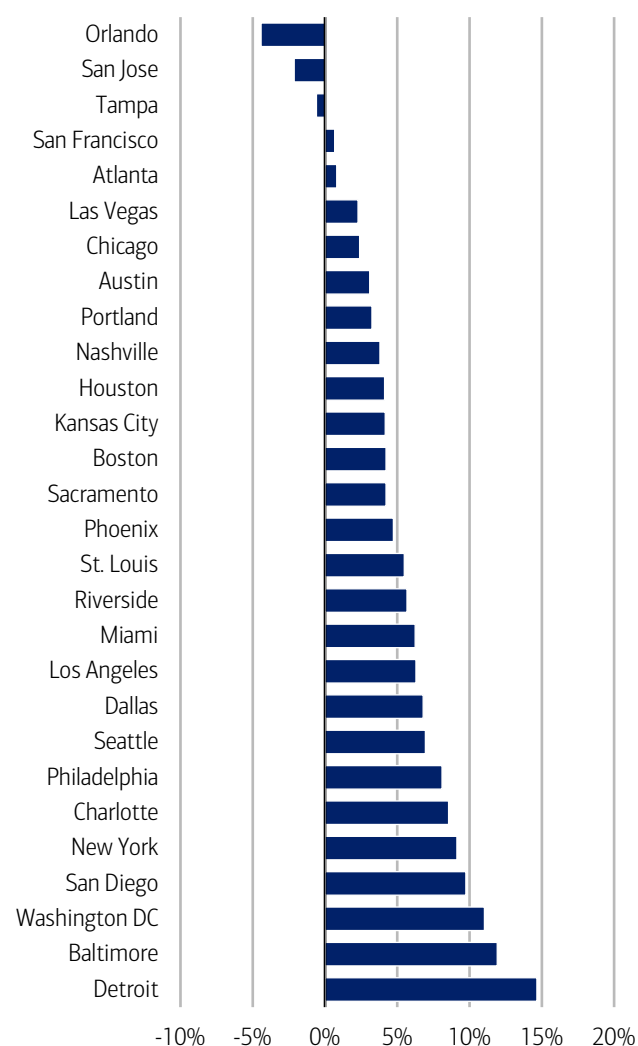
While energy bills account for a relatively modest share of household spending nationally, experiences vary across the country. Looking at large cities (by Core Based Statistical Areas), our data shows that utility bills rose by more than 10% YoY in Detroit, Baltimore and Washington DC from June through August 2026. At the other end of the spectrum, bills fell YoY in Orlando, San Jose and Tampa (Exhibit 2).

Customers' bills are being pressured by reshoring, reindustrialization, the general pass-through costs in the economy, and a significant need for infrastructure replacement in many markets. Regulatory changes and one-off charges have also influenced costs in several areas. In Florida, for example, the removal of hurricane recovery surcharges reduced utility bills in 2026, while in the Northeast, investments in grid infrastructure and capacity have contributed to higher costs.

There also remains some disparities in where average bills sit relative to the overall US (Exhibit 3). In Washington DC, Boston, Phoenix and Dallas, the average utility bill payment in June through August 2026 was well above the US average. Conversely, Chicago, Nashville and Las Vegas paid some of the lowest energy bills relative to the US.

Exhibit 2: There is a fairly wide dispersion of utility bill growth across the country

Average monthly overall utility payments per customer by Core Based Statistical Area (June-August 2026 average, % YoY)

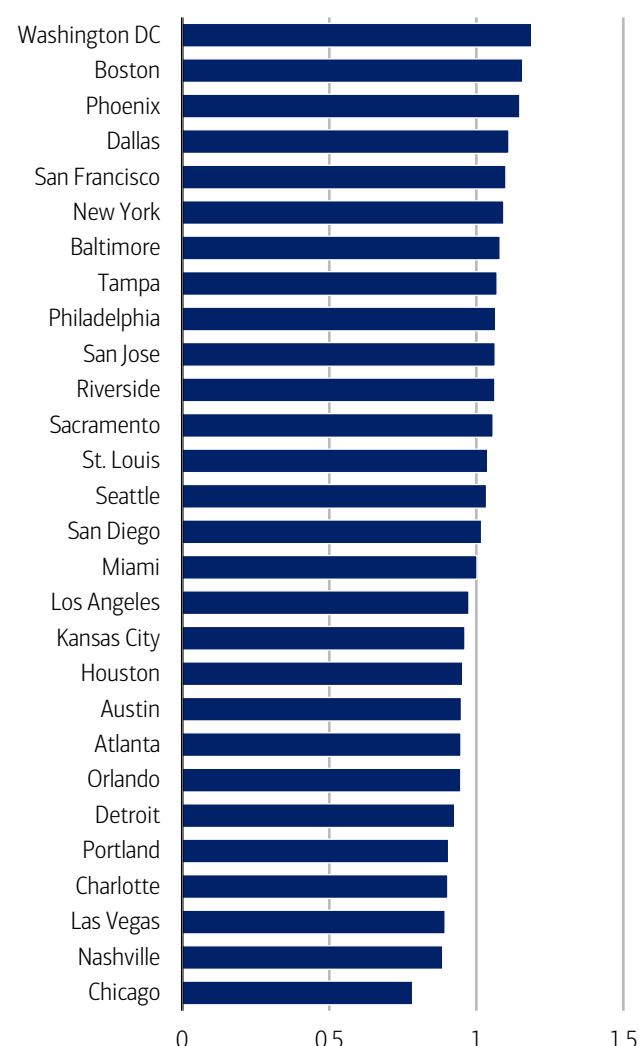


Source: Bank of America internal data

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Exhibit 3: Washington DC, Boston and Phoenix all had relatively elevated bills compared to the US average

Average monthly overall utility payments per customer relative to US average (June-August 2026 average, index, US = 1)



Source: Bank of America internal data

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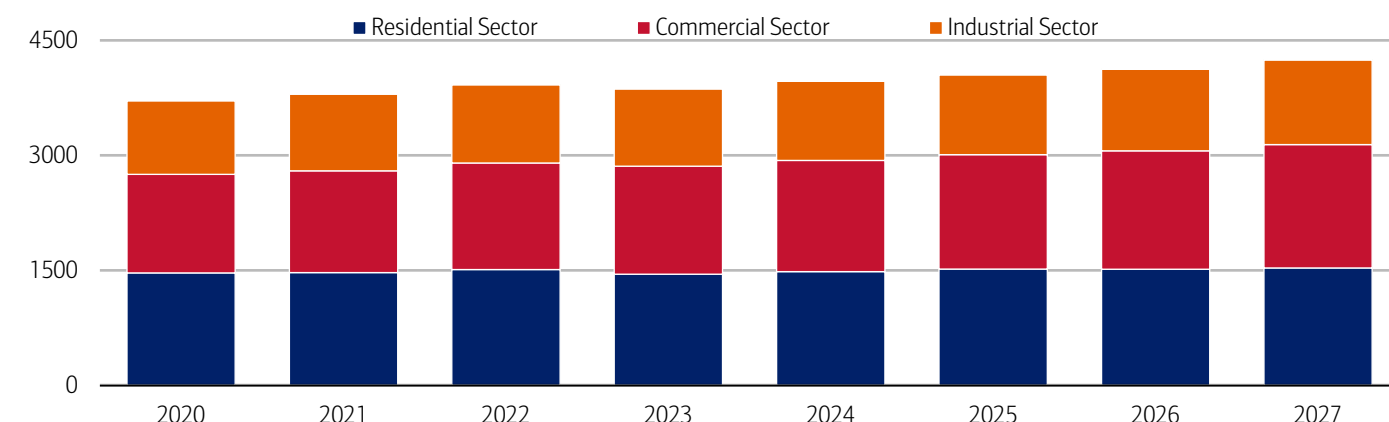
Rising demand for electricity will continue to pressure bills

Looking longer-term, rising energy demand (particularly for electricity), driven by factors such as data center expansion and residential electrification, is likely to keep upward pressure on consumers' energy bills for a number of years (read [Is the AI revolution raising consumers' utility bills?](#) and [Can the AI buildout keep building?](#) for more).

Exhibit 4 shows forecasts from the US Energy Information Administration's August 2026 Short-term Energy Outlook, estimating a 4% YoY rise in commercial and industrial electricity consumption. Accommodating this growth will likely require ongoing investment in grid capacity and power generation, and some of these costs may be passed on to consumers through higher energy bills.

Exhibit 4: The demand for electricity is rising particularly from commercial and industrial sectors

US electrical demand (in billion kilowatt hours) 2020-2027E (estimates/forecast from 2026)



Source: US Energy Information Administration

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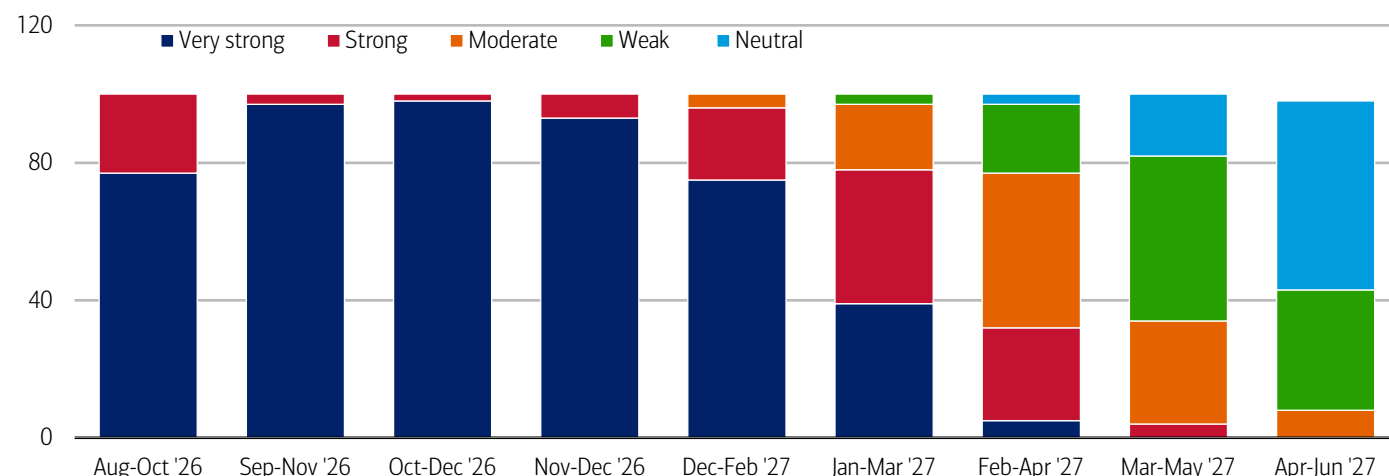
Short-term, the weather could prove important

El Niño is the warming phase of ENSO (El Niño–Southern Oscillation), a global climate phenomenon that emerges from variation in winds and sea surface temperatures over the Pacific Ocean. El Niño events can have widespread and profound global impacts, causing extreme weather such as storms, floods and higher temperatures. The strongest recorded El Niño took place in 1877 to 1878 and led to a global famine that killed more than 50 million people.

The National Oceanic and Atmospheric Administration (NOAA) believes there is a high probability that a very strong El Niño event will occur this year (Exhibit 5). One way to put this in historical context is through the NOAA's Relative Oceanic Niño Index (RONI). A positive RONI indicates the central/eastern tropical Pacific is unusually warm relative to the rest of the tropics. A higher RONI indicates a more severe El Niño, though NOAA points out that uncertainty on impacts also tends to rise with RONI.

Exhibit 5: The NOAA attaches a very high probability to a severe El Niño event over coming months

Likelihood of an El Nino event estimated by severity (%)



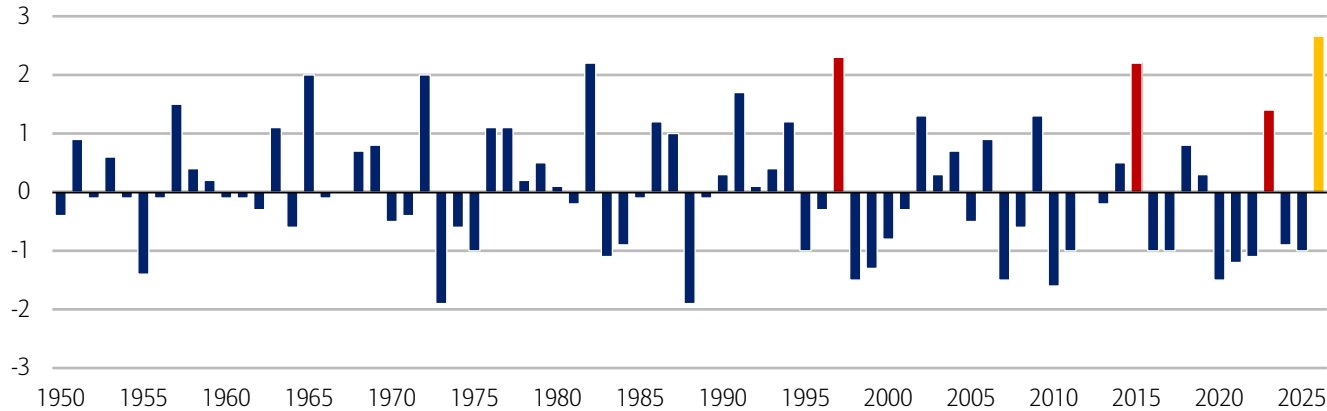
Source: National Oceanic and Atmospheric Administration (NOAA)

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Exhibit 6 shows that the current forecast for RONI from October to December 2026 is one of the largest on record. In recent history, similar-sized El Niño events have only occurred in 1997-98, 2015-16 and to a lesser extent in 2022-23.

Exhibit 6: The El Niño event in 2026 is forecasted to be the largest on record

Relative Oceanic Niño Index (RONI) for October-December by year (2026: NOAA 50% probability forecast for October-December 2026)



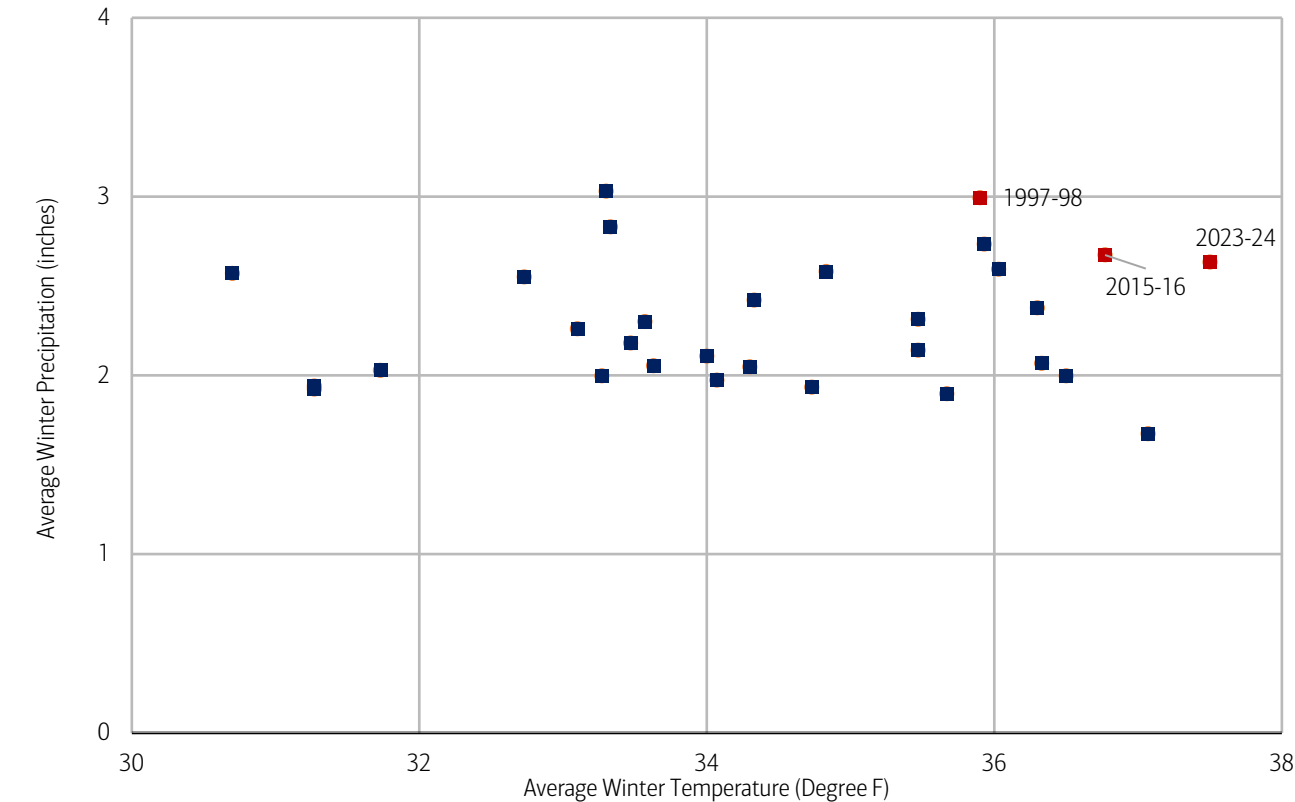
Source: National Oceanic and Atmospheric Administration (NOAA)
Note: Red bars: 1997-1998/2015-16. Yellow bar: 2026-27 50% forecast.

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For the US, significant El Niño events tend to bring higher-than-usual temperatures and more rainfall (Exhibit 7). However, no El Niño is exactly the same. For example, in 1997-98 California was flooded in but in 2015-16 it was dry, while the nation overall was wet. Both time periods were among the highest levels of RONI in the past 70 years.

Exhibit 7: El Niño events have been noted for higher temperatures and rainfall

Average winter (December-February) temperatures versus precipitation (data from 1996-97)



Source: Haver Analytics

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What does this mean for consumers and their energy bills? The most predictable impact from a severe El Niño appears to be unseasonably warm temperatures, implying reduced heating needs during the fall and winter. Consumers could therefore receive some relief in their utility bills and potentially have additional income to spend on discretionary goods and services over the coming months.

There is a large caveat, however. If El Niño manifests in stormy and rainy conditions – likely impacting the southern parts of the US – then some households may end up having to spend on repairs and maintenance following weather damage (read more on consumer spending in the aftermath of natural disasters in October's [What's the impact of natural disasters on local economies?](#)). This might boost consumer discretionary spending, but not in a way that implies improved well-being. And longer term, the broader impact of both climate change and energy demands from the AI revolution are likely to keep upward pressure on bills.

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We consider a measure of services necessity spending that includes but is not limited to groceries, utilities, and gasoline. Discretionary services includes but is not limited to charitable donations, leisure travel, entertainment, and professional/consumer services. Discretionary retail includes but is not limited to general merchandise, miscellaneous, clothing, electronics and furniture. It excludes categories like groceries and gasoline. Holiday spending is defined as items in which spending in the November-December period is usually at least 20% of total annual spending on the category. Value and premium grocers are determined judgmentally on a proprietary analysis of merchants by equity analysts.

Durables spending is defined as spending on electronics, building materials, auto-related spending and furniture. Premium durables spending is based on a selection of retailers who are judged to sell relatively higher value products. Conversely, value durables spending is based on a selection of retailers who are judged to sell relatively lower value products.

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Economy

Consumer Checkpoint: Still sizzling

14 September 2026

Key takeaways

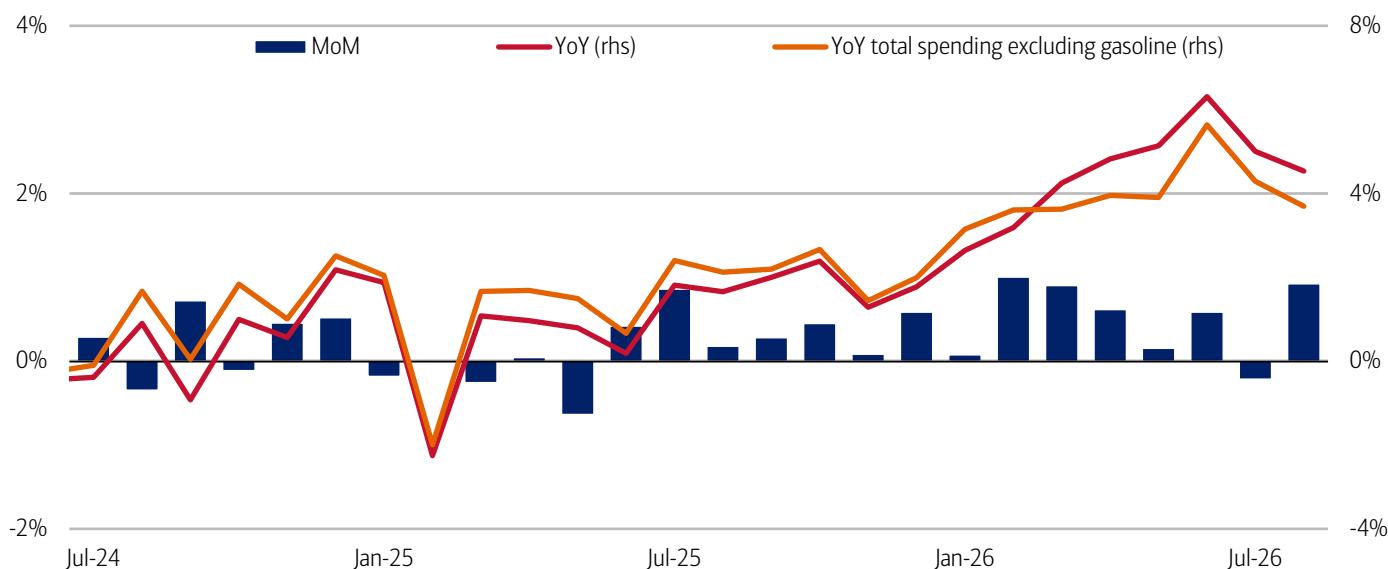
- Consumer spending remained solid in August. Total card spending per household rose 0.9% month-over-month and 4.5% year-over-year, according to Bank of America internal data. Discretionary services continue to provide a steady foundation for this growth, despite moderation in a few categories.
- Consumers still appear to be focused on value. Spending at general merchandise and big-box retailers continues to outperform more traditional retailers, as evidenced during the back-to-school season. This suggests households are actively seeking lower-cost alternatives while maintaining spending.
- Spending and wage growth have largely converged across income groups, though across generations, the largest "K" shape remains among Millennials. Household finances also remain healthy, with credit card utilization declining across most age and income cohorts. Lower- and middle-income households still hold elevated deposit balances across all age groups, suggesting spending should remain resilient.

A summer of spending

Consumer spending looked very robust in August. Bank of America total aggregated credit and debit card spending per household jumped 0.9% month-over-month (MoM) on a seasonally-adjusted basis, following the 0.2% dip in July. And card spending rose 4.5% year-over-year (YoY), more than four times the average growth rate of 2025. Excluding gasoline, spending was up 3.7% YoY, almost 2.5 times the rate in 2025. Additionally, while August YoY growth rates have eased over the past two months, they remained above the first three months of 2026 (Exhibit 1).

Exhibit 1: Total card spending per household rose 4.5% YoY in August and 3.7% YoY excluding gasoline, with seasonally-adjusted spending up 0.9% MoM

Total card spending growth per household, based on Bank of America aggregated credit and debit card data (monthly, MoM%, seasonally adjusted (SA)) and (monthly, YoY%, non-SA, right-hand side (rhs))



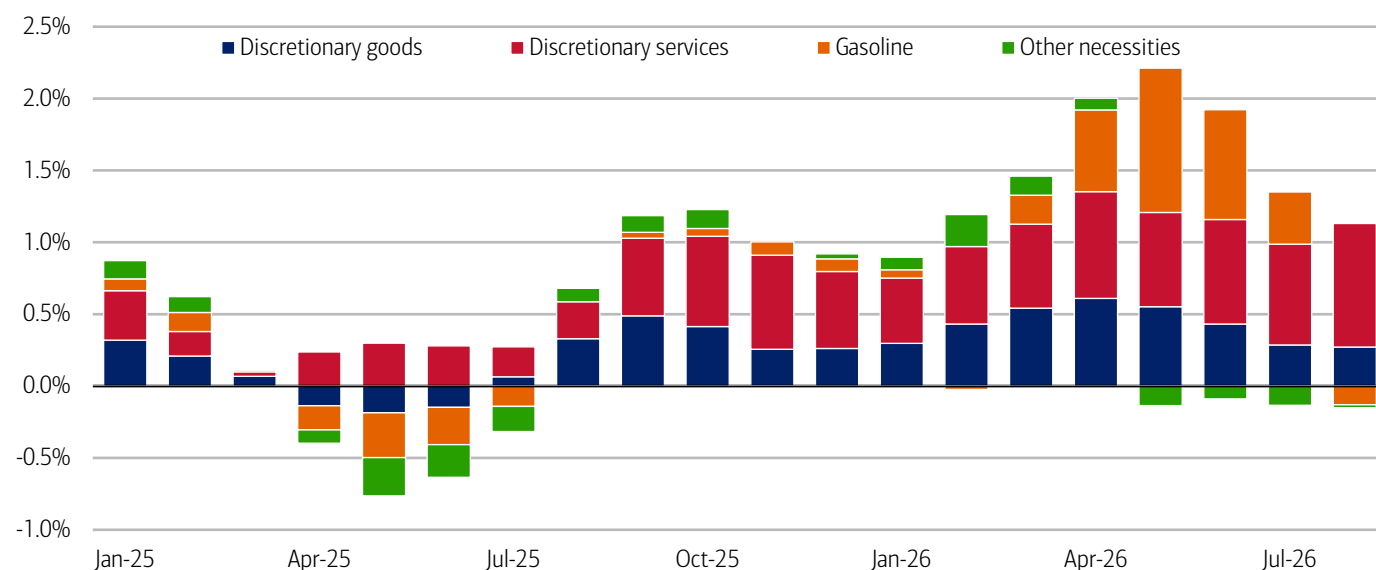
Source: Bank of America internal data

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Discretionary services spending has remained a steady contributor to overall momentum. As for necessities, rising gasoline spending lost steam, with its largest upward impact on spending occurring earlier in the year. However, recent increases in both oil and gasoline prices may present some renewed headwinds to consumers if they are sustained (Exhibit 2).

Exhibit 2: Discretionary services spending has remained a bedrock of growth

Contribution to three-month-on-three-month total credit and debit card spending growth by category, based on Bank of America card data (monthly, SA, percentage points contribution)



Source: Bank of America internal data

Note: Necessity spending includes gas, groceries and utilities. Discretionary spending is all other card spending.

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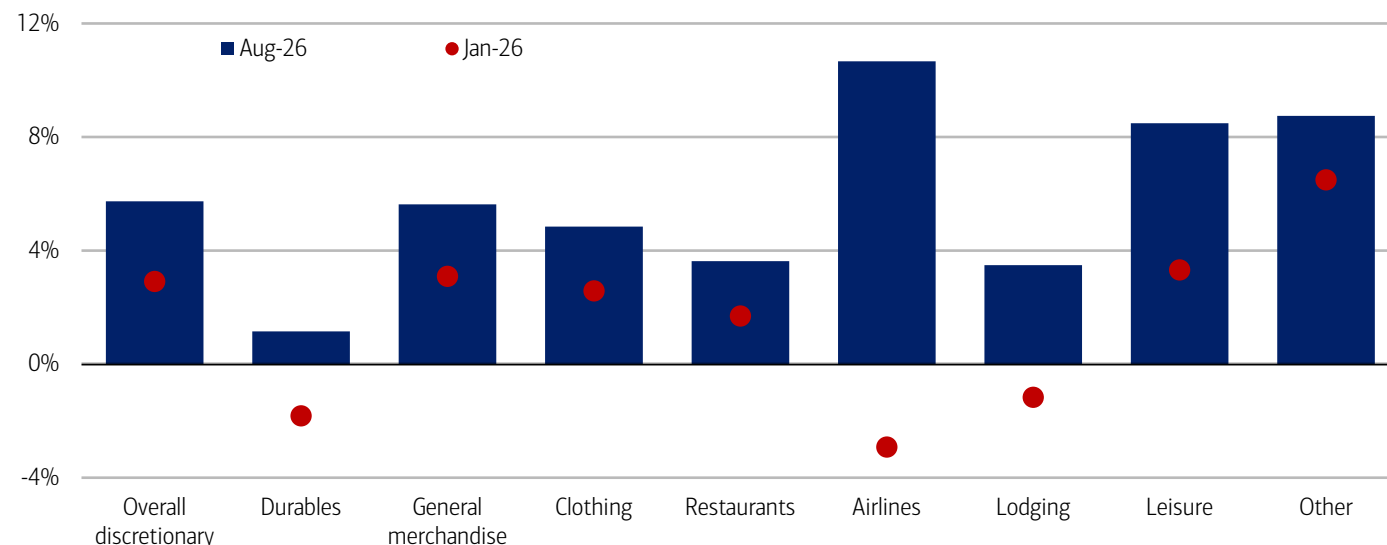
Discretionary spending: Price pressures bite in some areas

Spending growth outpaced transaction growth across most discretionary categories

Within discretionary categories there is some variation, though YoY spending growth has improved since the beginning of the year across most (Exhibit 3). Leisure and travel-related spending (lodging and airlines) have seen the largest improvements, likely in part reflecting the impact of the World Cup over the summer.

Exhibit 3: Discretionary spending growth has improved across most categories since the start of the year

Card spending per household across select discretionary categories (three-month moving average, YoY%, SA)



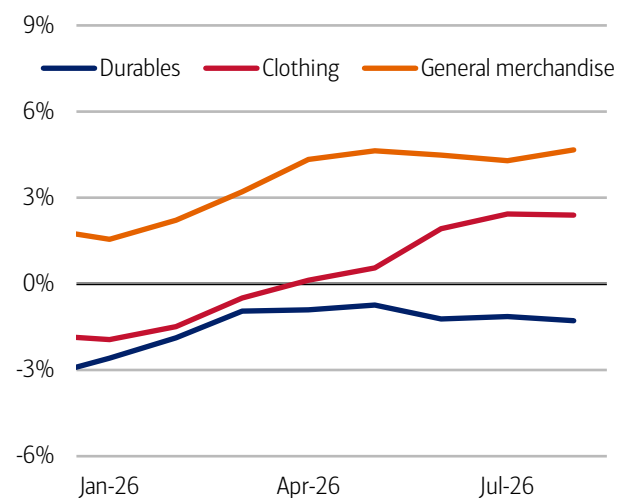
Source: Bank of America internal data

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But rising global oil prices have also pushed up costs in areas like travel. Looking at transactions as a guide to spending volumes, airline transactions are actually down YoY, as are durables transactions. Conversely, clothing and restaurants have maintained positive transaction growth, suggesting rising prices are not the main reason for improved spending growth in these categories. And lodging has also grown, a reversal from earlier this year (Exhibit 4 and Exhibit 5).

Exhibit 4: Transaction growth remained solid in restaurants and clothing in August, while it remained negative for durables

Transactions per household across select discretionary retail categories (three-month moving average, YoY%, SA)

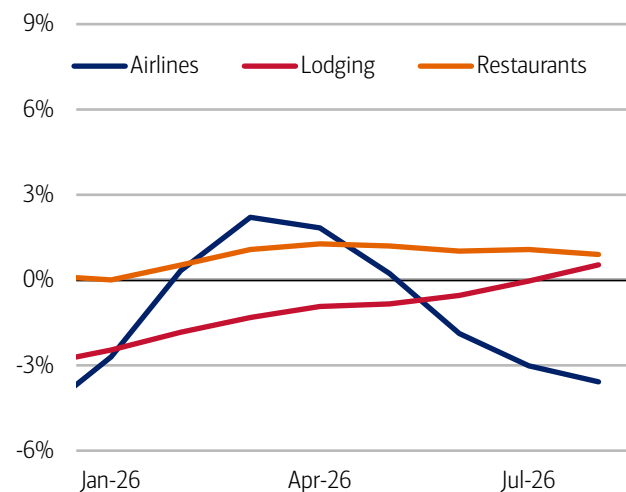


Source: Bank of America internal data

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Exhibit 5: Airline transaction growth continued to decline in August, while lodging has grown

Transactions per household across select discretionary service categories (three-month moving average, YoY%, SA)



Source: Bank of America internal data

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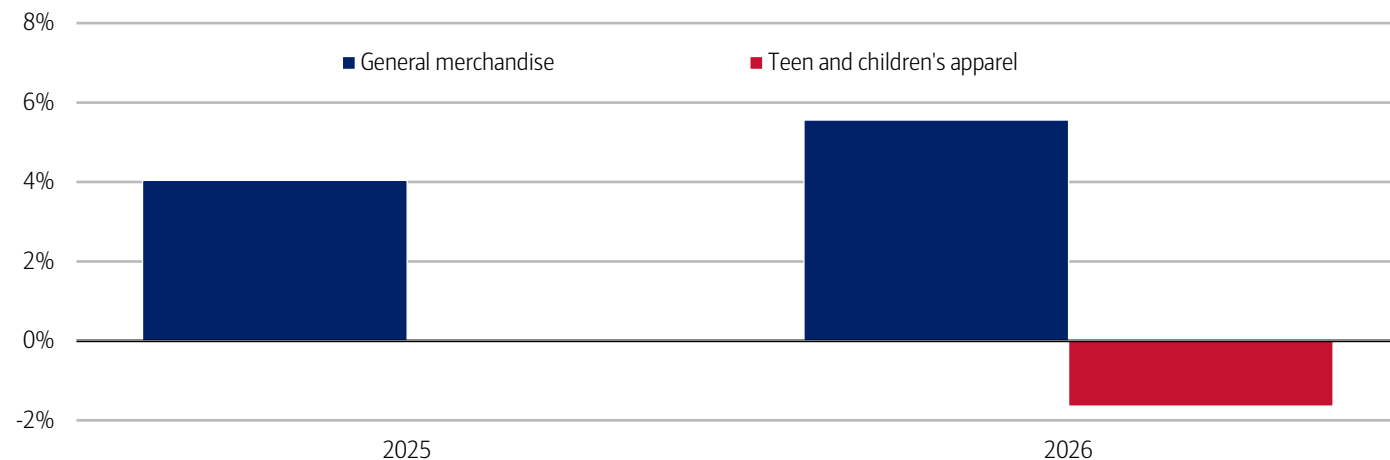
Consumers continue to pivot to big-box stores and wholesalers

One “stand-out” among discretionary spending categories is general merchandise, where robust and rising transaction growth has largely mirrored its spending growth, up 4.7% and 5.6% YoY, respectively.

In our view, this partly reflects consumers searching for value to offset the increase in gas prices, among other items (read more in [The rise of value](#)). This trend extends to back-to-school spending. In fact, while spending at traditional back-to-school retailers (like teen and children’s apparel) has declined this year, outlays have ramped up at general merchandise stores (Exhibit 6). This suggests to us that back-to-school spending was likely solid this year but just shifted to different channels.

Exhibit 6: Solid spending growth for general merchandise, while more traditional back-to-school retailers, like teen and children’s apparel, have experienced a slight decline

Spending growth per household by select categories (28-day moving average to August 29, YoY%)



Source: Bank of America internal data

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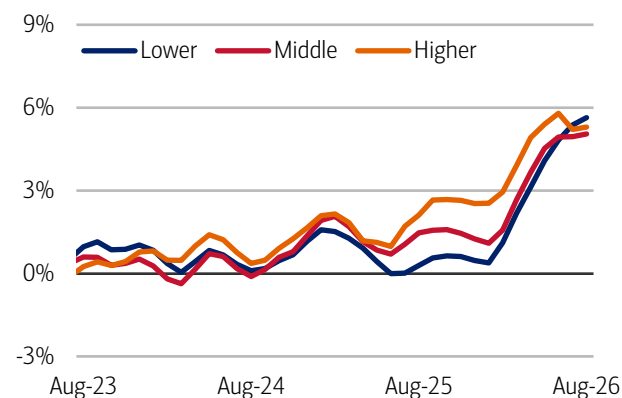
Spending and wages keep converging, but it differs slightly by age

Looking across income cohorts, total card spending growth has largely converged in recent months, effectively closing the “K” shape in overall spending (Exhibit 7). This is also true in discretionary spending: Bank of America card data shows lower-income households’ discretionary spending growth is recovering strongly. In August, discretionary spending rose 5.9% YoY for higher-income households versus 5.7% YoY for lower-income counterparts, the smallest gap since January 2024 (Exhibit 8). Meanwhile, middle-income households’ discretionary spending also improved but lagged other income cohorts slightly, albeit still up a healthy 5.1% YoY.

The closing gap in spending growth between higher- and lower-income households has been mirrored in strengthening after-tax wage growth (read more in [The Institute Employment Report: August 2026](#)). Lower-income households’ wage growth outpaced that of other cohorts in August for the second consecutive month (Exhibit 9).

Exhibit 7: Lower-income households’ total card spending growth is stronger than all income cohorts

Total card spending per household by income tercile (three-month moving average, YoY%, SA)

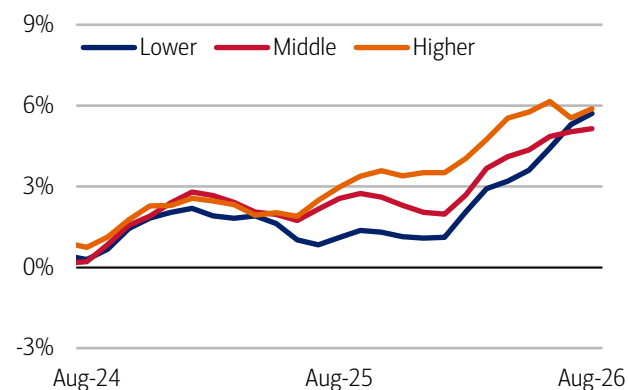


Source: Bank of America internal data

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Exhibit 8: Discretionary spending continued to converge across income groups

Discretionary card spending per household by income tercile (three-month moving average, YoY%, SA)



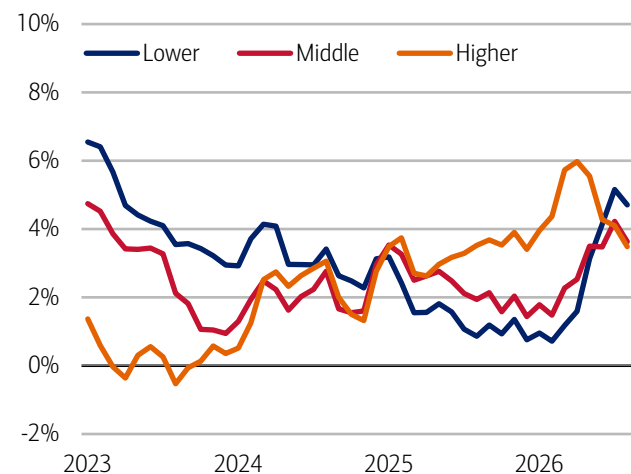
Source: Bank of America internal data

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Across generations, the gap between higher- and lower-income households’ discretionary spending growth is just above zero for Baby Boomers and only slightly larger for Gen Z and Gen X (Exhibit 10). It remains widest for Millennials, partly reflecting relatively large differences in after-tax wage growth. However, this gap has narrowed significantly in recent months.

Exhibit 9: In August, after-tax wage growth for lower-income households continued to outpace that of higher-income households

After-tax wage and salary growth by household income tercile (three-month moving average, YoY%, SA)

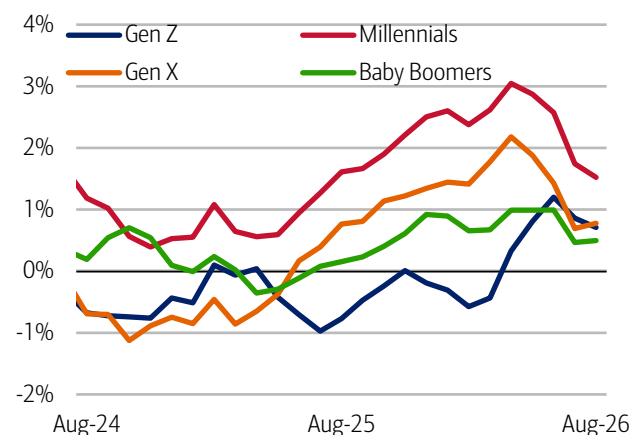


Source: Bank of America internal data

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Exhibit 10: The gap in spending growth between higher- and lower-income households was larger for Millennials and Gen Z than Gen X and Baby Boomers in August

Higher-income households’ discretionary spending growth compared to lower-income households’ by age generation (three-month moving average, percent difference, non-SA)



Source: Bank of America internal data

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While the “K-shaped” divergence in discretionary credit and debit card spending has closed, it likely persists in higher-cost items and services such as vehicles and moving (read more in [Autos: In gear, but the “K” is still in the headlights](#) and [On the move: Renovation over relocation?](#)).

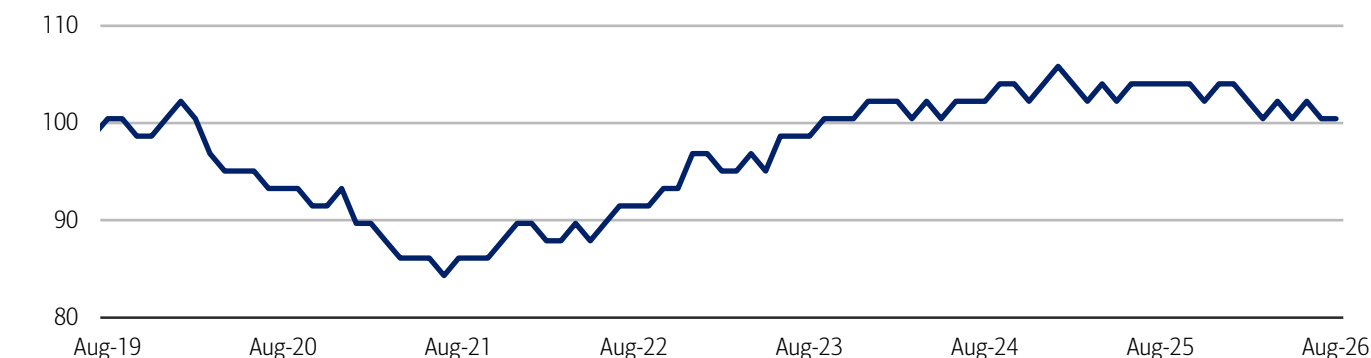
We see two reasons for this. First, these types of purchases may require saving for down payments or larger borrowing (and may be more interest rate-sensitive), so it’s possible recent wage growth has yet to translate into bigger-ticket buys. Second, some of the improvement in after-tax wage growth may be due to temporary factors like lower tax withholdings, meaning some consumers may not feel comfortable signing up for higher-dollar and longer-term financial commitments.

Gen Z, Millennials and Gen X have less room to borrow, but elevated deposits

When it comes to overall financial health, we believe consumers remain on solid footing. One sign of this is that more consumers are paying off their entire credit card balance every month, both compared to last year and to pre-pandemic levels (read more in [Consumer Checkpoint: The great convergence](#)). And for those who do carry a balance (revolvers) from month to month, overall utilization rates have declined YoY and are near pre-pandemic levels (Exhibit 11).

Exhibit 11: Credit card utilization for revolvers is on par with pre-pandemic levels and has declined YoY

Median credit card utilization for credit card revolvers (monthly, index 2019 average = 100, below 100 means there has been a decrease relative to 2019 levels)



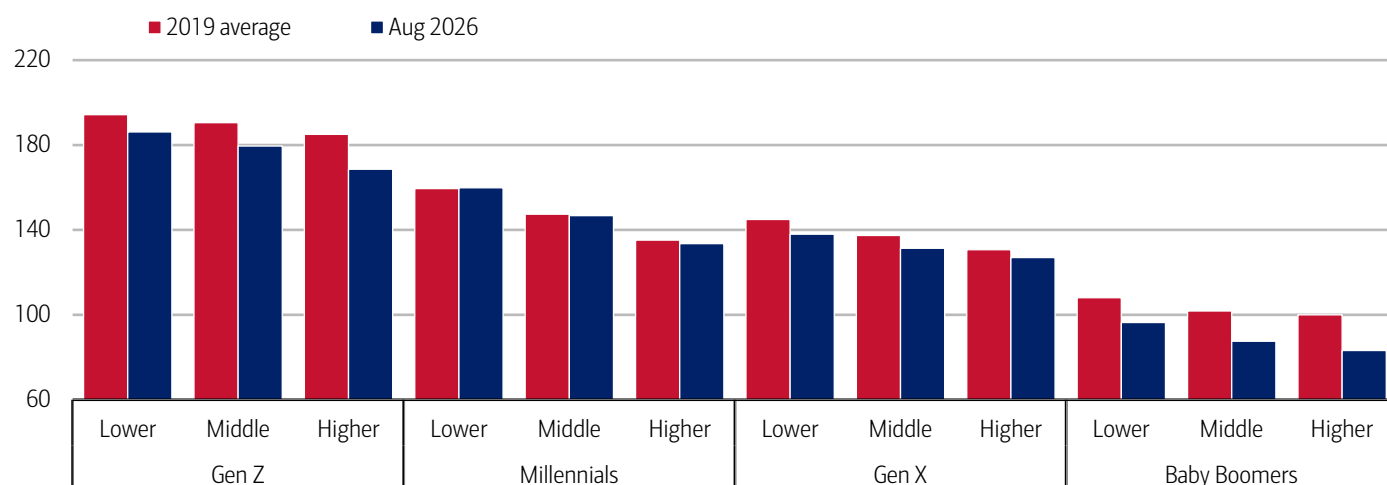
Source: Bank of America internal data

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Looking at utilization rates for revolvers by age and income, Baby Boomers have more room to borrow than younger generations across all income cohorts. Even in August 2026, Gen Z, Millennial and Gen X utilization rates are still well above Baby Boomer’s 2019 utilization rates (Exhibit 12). The good news is that most of these younger generations have seen borrowing capacity increase slightly since then. Millennials, however, at the margin have made the least progress, with utilization rates still at 2019 levels.

Exhibit 12: Credit card utilization rates suggest older generations have more capacity to borrow across all income cohorts

Median credit card utilization for credit card revolvers by age and income group (monthly, index Baby Boomer’s 2019 average = 100, below 100 means there has been a decrease relative to 2019 levels)



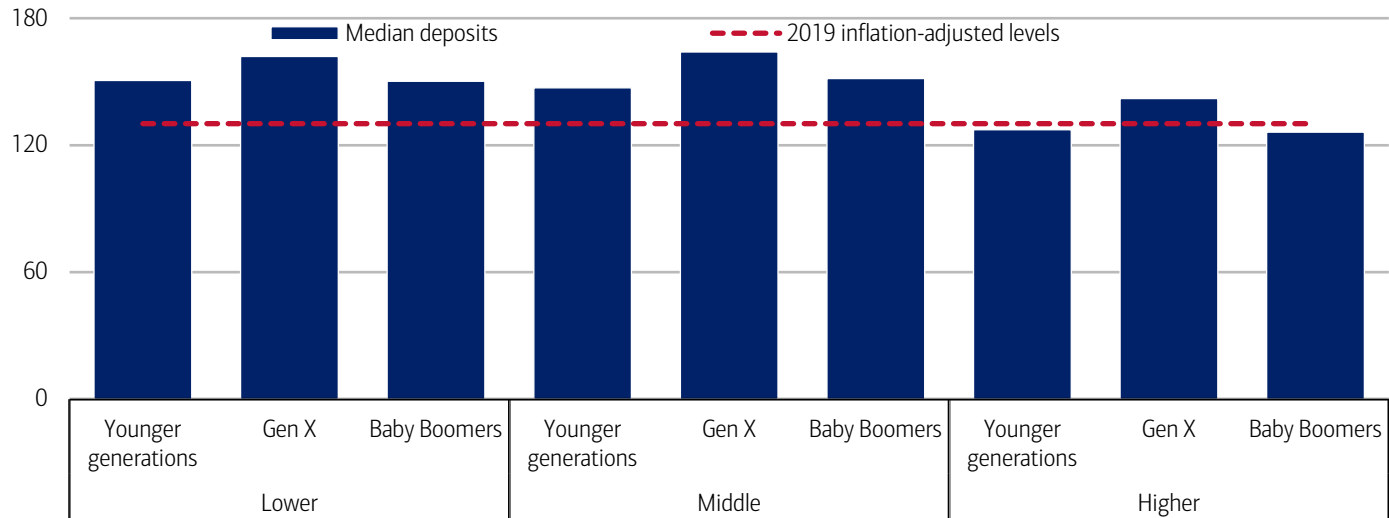
Source: Bank of America internal data

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Highly liquid buffers in checking and saving accounts also remain supportive of consumer health. Lower- and middle-income households appear to have significantly higher median deposit levels compared to pre-pandemic levels across all ages (Exhibit 13). Conversely, higher-income households – especially Gen Z, Millennials and Baby Boomers – have lower deposit levels, in our view, likely as they have invested their savings in less liquid assets (read more in [Resolute resolutions?](#)).

Exhibit 13: Lower- and middle-income households have seen the largest increases in household deposits across all age groups compared to pre-pandemic levels

Monthly median household savings and checking balances, based on Bank of America deposit data, by income and age generations for a fixed group of households through November 2024 compared to August 2026 (monthly, indexed 2019 = 100) and Consumer Price Index inflation data, based on Bureau of Labor Statistics data (monthly, indexed 2019 = 100)



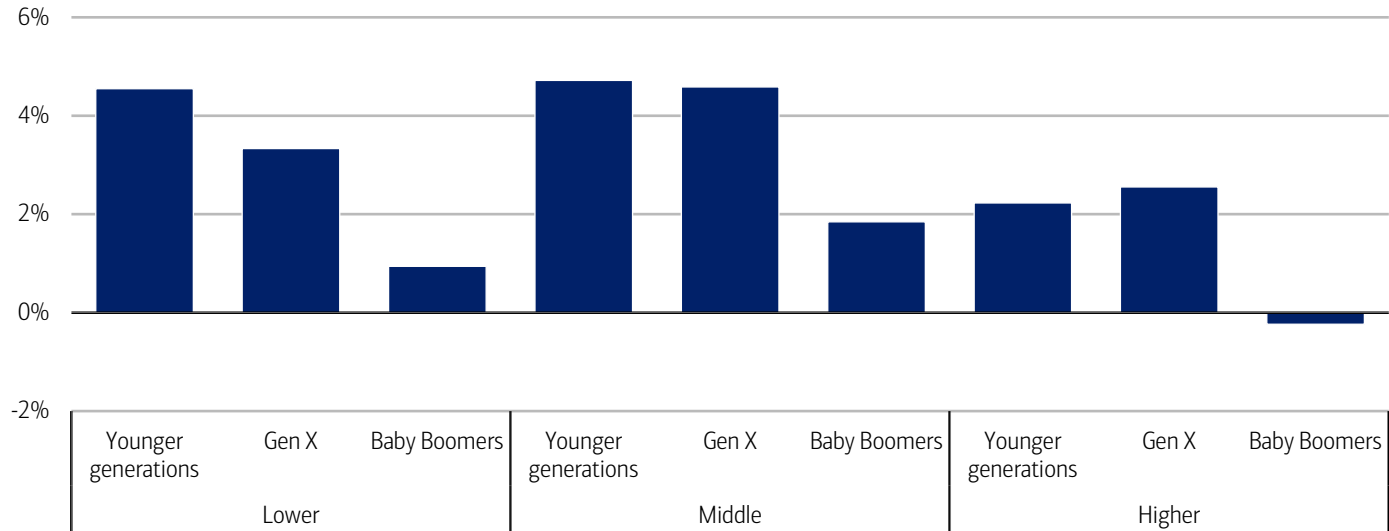
Source: Bank of America internal data
Note: Monthly data includes those households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through August 2026. Younger generations are Gen Z and Millennials.

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Higher tax refunds and improving wage growth are helping lower- and middle-income households build deposits at the fastest rate YoY, especially Gen Z, Millennials and Gen X (Exhibit 14). So, overall, consumers appear in a good financial position as we head towards the holidays.

Exhibit 14: Baby Boomers have seen the smallest YoY increases in deposit levels across all income cohorts

Monthly median household savings and checking balances, based on Bank of America deposit data, by income and age generations for a fixed group of households through November 2024 compared to August 2026 (three-month moving average, YoY%)



Source: Bank of America internal data
Note: Monthly data includes those households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through August 2026. Younger generations are Gen Z and Millennials.

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Methodology

Selected Bank of America transaction data is used to inform the macroeconomic views expressed in this report and should be considered in the context of other economic indicators and publicly available information. In certain instances, the data may provide directional and/or predictive value. The data used is not comprehensive; it is based on **aggregated and anonymized** selections of Bank of America data and may reflect a degree of selection bias and limitations on the data available.

Any payments data represents aggregated spend from US Retail, Preferred, Small Business and Wealth Management clients with a deposit account or credit card. Aggregated spend include total credit card, debit card, ACH, wires, bill pay, business/peer-to-peer, cash, and checks.

Any **Small Business** payments data represents aggregate spend from Small Business clients with a deposit account or a Small Business credit card. Payroll payments data include channels such as ACH (automated clearing house), bill pay, checks and wire. Bank of America per Small Business client data represents activity spending from active Small Business clients with a deposit account or a Small Business credit card and at least one transaction in each month. Small businesses in this report include business clients within Bank of America and generally defined as under \$5mm in annual sales revenue.

Unless otherwise stated, data is not adjusted for seasonality, processing days or portfolio changes, and may be subject to periodic revisions.

The differences between the total and per household card spending growth rate (if discussed) can be explained by the following reasons:

1. Overall total card spending growth is partially boosted by the growth in the number of active cardholders in our sample. This could be due to an increasing customer base or inactive customers using their cards more frequently.
2. Per household card spending growth only looks at households that complete at least five transactions with Bank of America cards in the month. Per household spending growth isolates impacts from a changing sample size, which could be unrelated to underlying economic momentum, and potential spending volatility from less active users.
3. Overall total card spending includes small business card spending while per household card spending does not.
4. Differences due to using processing dates (total card spending) versus transaction date (per household card spending).
5. Other differences including household formations due to young adults moving in and out of their parent's houses during COVID.

Any household consumer deposit data based on Bank of America internal data is derived by anonymizing and aggregating data from Bank of America consumer deposit accounts in the US and analyzing that data at a highly aggregated level. Whenever median household savings and checking balances are quoted, the data is based on a fixed cohort of households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through the most current month of data shown.

Bank of America aggregated credit/debit card spending per household includes spending from active US households only. Only consumer card holders making a minimum of five transactions a month are included in the dataset. Spending from corporate cards are excluded. Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

We consider a measure of services necessity spending that includes but is not limited to groceries, utilities, and gasoline. Discretionary services includes but is not limited to charitable donations, leisure travel, entertainment, and professional/consumer services. Discretionary retail includes but is not limited to general merchandise, miscellaneous, clothing, electronics and furniture. It excludes categories like groceries and gasoline. Holiday spending is defined as items in which spending in the November-December period is usually at least 20% of total annual spending on the category. Value and premium grocers are determined judgmentally on a proprietary analysis of merchants by equity analysts.

Durables spending is defined as spending on electronics, building materials, auto-related spending and furniture. Premium durables spending is based on a selection of retailers who are judged to sell relatively higher value products. Conversely, value durables spending is based on a selection of retailers who are judged to sell relatively lower value products.

Lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between these terciles will move over time, reflecting any number of factors that impact income, including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

Generations, if discussed, are defined as follows: Gen Z, born after 1995; Younger Millennials: born between 1989-1995; Older Millennials: born between 1978-1988; Gen Xers: born between 1965-1977; Baby Boomer: 1946-1964; Traditionalists: pre-1946.

Any reference to card spending per household on gasoline includes all purchases at gasoline stations and might include purchases of non-gas items.

Additional information about the methodology used to aggregate the data is available upon request.

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Disclosures

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Economy

Switching 9 to 5s

09 September 2026

Key takeaways

- Job-switching pay premiums have risen to their highest level in more than three years, indicating employers may be willing to pay for workers with specific skills, according to Bank of America deposit account data. Gen Z continue to benefit the most from changing jobs, while workers paid by the hour are also making particularly large gains from switching.
- Women's lead in wage gains from job changes has narrowed as men's switching premiums have accelerated faster, returning the gap to roughly 2018 levels. Meanwhile, pay disruption rates have fallen and converged across genders, although men's higher overall pay levels mean broader earnings gaps remain.
- AI adoption is not yet translating into broad-based labor displacement, according to BofA Global Research. Job switching remains resilient, and industries with the highest AI usage do not yet show consistently weaker labor demand. If that changes, younger workers and women look most exposed.

Pay increase associated with a job change hits highest rate since 2023

The broader US labor market momentum picked up in August (read more on this in [the August Institute Employment Report](#)), and Bank of America data suggests worker mobility may be showing early signs of improvement. In July, increases in pay associated with a job change reached their highest rate in over three years, according to Bank of America account data (Exhibit 1). Importantly, the annual average for these pay premiums has inched upwards after consistent yearly declines.

While job-switching pay premiums have improved in recent months, they remain below pre-pandemic levels. This suggests today's labor market differs from both the Great Resignation period in 2022 and the tighter labor markets of the late 2010s.

Exhibit 1: In July, the pay increase associated with a job change reached the highest rate in over three years

After-tax pay change associated with a job change (% , three-month moving average, monthly, annual average)



Source: Bank of America internal data

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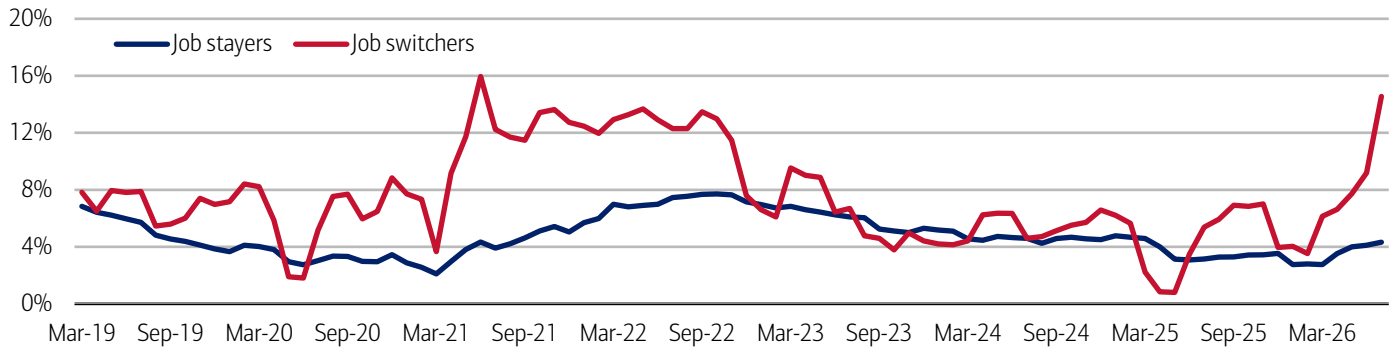
Jobs with weekly paychecks see accelerated pay bumps for job switchers

The premium for switching jobs is most notable among workers with weekly paychecks, though this could also be reflective of increased overtime (Exhibit 2). Bureau of Labor Statistics (BLS) employer payroll data indicates that weekly pay schedules are disproportionately concentrated in industries with large hourly workforces and variable hours, particularly construction, leisure and hospitality, transportation and warehousing, and portions of retail trade. These jobs often skew lower income. In contrast, professional, financial, and other predominantly salaried industries are more likely to use biweekly or semi-monthly payroll schedules.

This acceleration among workers paid weekly provides further evidence that One Big Beautiful Bill Act-related changes to overtime hours and tax withholdings could be fueling lower-income wage growth and narrowing differences in spending growth across income groups (read more on this in [August's Consumer Checkpoint](#)).

Exhibit 2: For workers with a weekly paycheck who switched jobs, their change in pay was almost 4x that of those who stayed in their job in July

After-tax pay change for workers with weekly paychecks by type (monthly, three-month moving average, %)



Source: Bank of America internal data

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Gen Z job change rate outpaces other generations

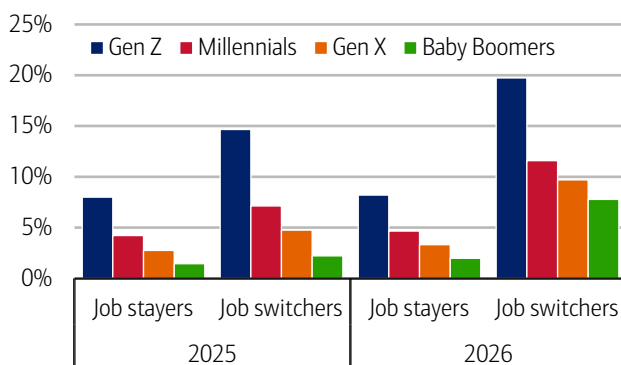
Looking across generations, Gen Z have continued to see the greatest pay bumps from switching roles, some of which may reflect where they are positioned in the wage distribution (Exhibit 3). Younger workers generally begin their careers at lower wage levels, creating more opportunities for substantial percentage increases when they switch jobs. As a result, job changes can generate larger proportional pay gains than those typically experienced by older workers.

Encouragingly, the rate at which Gen Z change jobs has grown and accelerated year-over-year (YoY) since February, surpassing all other generations for the first time since 2021 (Exhibit 4). This uptick is particularly noteworthy because it comes at a time when many broader labor market indicators suggest slower hiring.

Gen Z's willingness to keep changing jobs may indicate that opportunities remain available for early-career workers even as employers become more selective overall. On the other hand, it could also suggest that companies are prioritizing lower-cost entry-level hires over replacing more experienced workers.

Exhibit 3: Gen Z have continued to see the greatest pay change rates from switching jobs

Change in after-tax wages after switching jobs by generation in July (%)

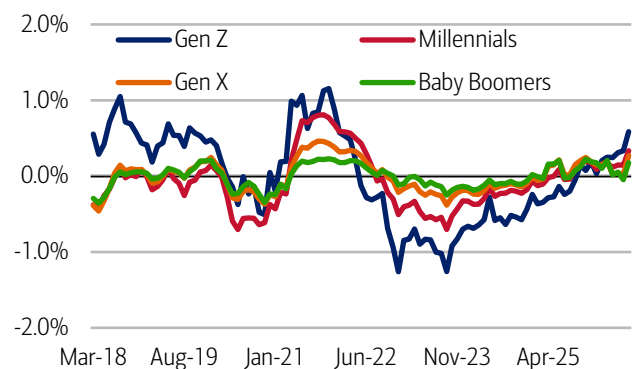


Source: Bank of America internal data

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Exhibit 4: The growth of Gen Z's job change rate has surpassed all other generations for the first time since 2021

Job change rate by generation (percent difference from previous year)



Source: Bank of America internal data

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Women's job-switching premium is growing more slowly than men's

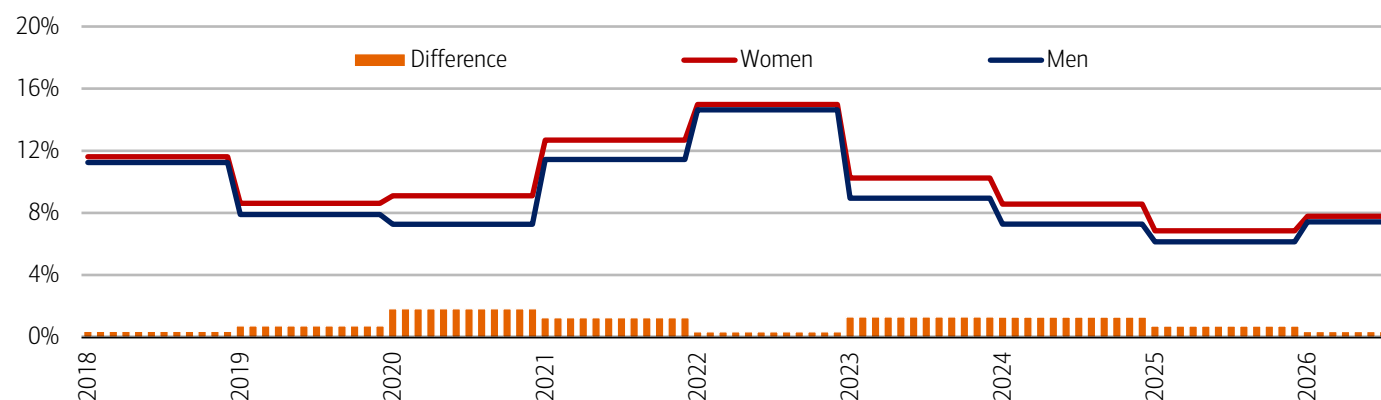
Women are still getting a bigger raise than men when they switch jobs, but the difference between women's and men's pay change from a job change is back to 2018 levels (Exhibit 5). And though women used to change jobs at a faster rate, men's job change rate has edged out women's since 2024, according to Bank of America account data.

In our view, the narrowing difference does not necessarily indicate weaker labor market outcomes for women. Instead, it appears to reflect faster recent acceleration in men's job-switching wage gains. As a result, the job-switching premium has become more similar across genders than it was during much of the post-pandemic period.

However, the shrinking gap here could pose challenges for pay equality because women's *level* of pay often starts from a lower base compared to men's (read more on this in March's [Where are women positioned in a "K-shaped" economy?](#)). Since job switching is often one of the fastest ways workers increase earnings, differences in job-switching premiums can have enduring effects on wage growth over time.

Exhibit 5: The difference between women's and men's pay change from a job change is back to 2018 levels

After-tax pay change from a job change by gender (annual average year-to-date, % difference)



Source: Bank of America internal data

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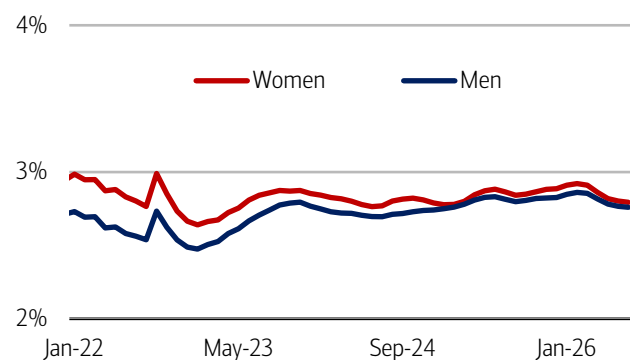
Gender gap in pay disruptions narrows to near record low

Similarly, the gap between women's and men's pay disruption rate – which we view as a proxy for temporary or permanent labor force departures – has narrowed and both rates have moderated since the start of the year (Exhibit 6) (see Methodology - Pay Disruption Rate). The labor market has become more equal on this measure, but not because women's disruption rates have fallen dramatically. Rather, men's disruption rates have increasingly resembled women's.

Interestingly, this is against the backdrop of fewer men in the labor force. Since January, data from the BLS indicates men's growth in the civilian labor force aged 25-54 has fallen, whereas women's has continued to increase (Exhibit 7).

Exhibit 6: The pay disruption rate for both men and women has fallen over the past few months

Pay disruption rate by gender (% , seasonally adjusted)

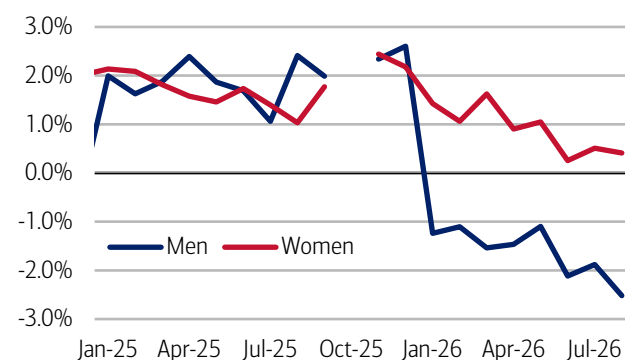


Source: Bank of America internal data

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Exhibit 7: Men's growth in the civilian labor force aged 25-54 has fallen since January

Civilian labor force aged 25-54 years by gender (seasonally adjusted, YoY%, monthly)



Source: Haver Analytics

Note: October data was not available as the BLS did not publish.

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AI anxiety is not yet evident in job change rate

Job-switching behavior may be an important early indicator because labor market adjustments often show up in mobility before employment. If firms become more cautious about hiring in the wake of AI adoption, workers may first become less willing or less able to switch jobs before broader effects emerge in payroll or unemployment data.

So, the fact that we're seeing an increase in job switching is a sign of a somewhat tight labor market despite overall payrolls slowing.

Information and finance/insurance show early signs of AI labor demand impact

Using a measure of AI usage from the Census Bureau's Business Trend and Outlook Survey (BTOS), which asks respondents if they've used AI in the last two weeks for any business function, BofA Global Research found two industries worth watching: information as well as finance and insurance. Both have high AI usage and have seen labor demand decline over the five-month period ending in June (Exhibit 8).

However, the lack of a clear relationship in the overall picture suggests AI adoption is not yet translating into broad-based labor displacement. In many industries, businesses may still be experimenting with AI tools or using them to augment workers rather than replace them.

Exhibit 8: At this time, there is not a clear relationship between AI usage levels and growth in labor demand overall

AI usage levels versus labor demand through June

	AI usage level (June 2026)	Job openings + employment (% change June 26 versus Jan 26)
Information	42.1	-1.90%
Professional scientific tech services	37.7	1.20%
Finance and insurance	34.8	-1.10%
Education services	34.6	0.00%
Real estate and rental and leasing	26.3	1.10%
Health care and social assistance	23	0.80%
Arts entertainment recreation	20	1.10%
Wholesale trade	18.1	0.10%
Manufacturing	17.9	0.00%
Retail trade	15.7	0.80%
Construction	12.3	0.90%
Other services	10.5	0.30%
Transportation and warehousing	9.7	1.30%
Accommodation and food services	8.2	-2.10%

Source: BofA Global Research, BLS, Census Bureau

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Women and younger workers face the greatest AI-related labor market risks

Although there is no firm AI impact yet, women are more exposed to AI than men, largely because they are overrepresented in administrative roles with routine, language-based tasks well suited to generative AI automation or augmentation, according to the International Labor Organization (read more on this in May's [Adaptability is the new job security: AI and the future of work](#)). BLS forecasts confirm this – demand is expected to be limited for occupations such as procurement clerks; legal secretaries and administrative assistants; and customer service representatives.

And specifically in AI-related roles, women made up just over a quarter of new hires in the US last year — compared with half of new hires in non-AI occupations — according to data from a LinkedIn study.¹ This suggests that women could be more susceptible to the possible negative impact of AI on jobs in more ways than one.

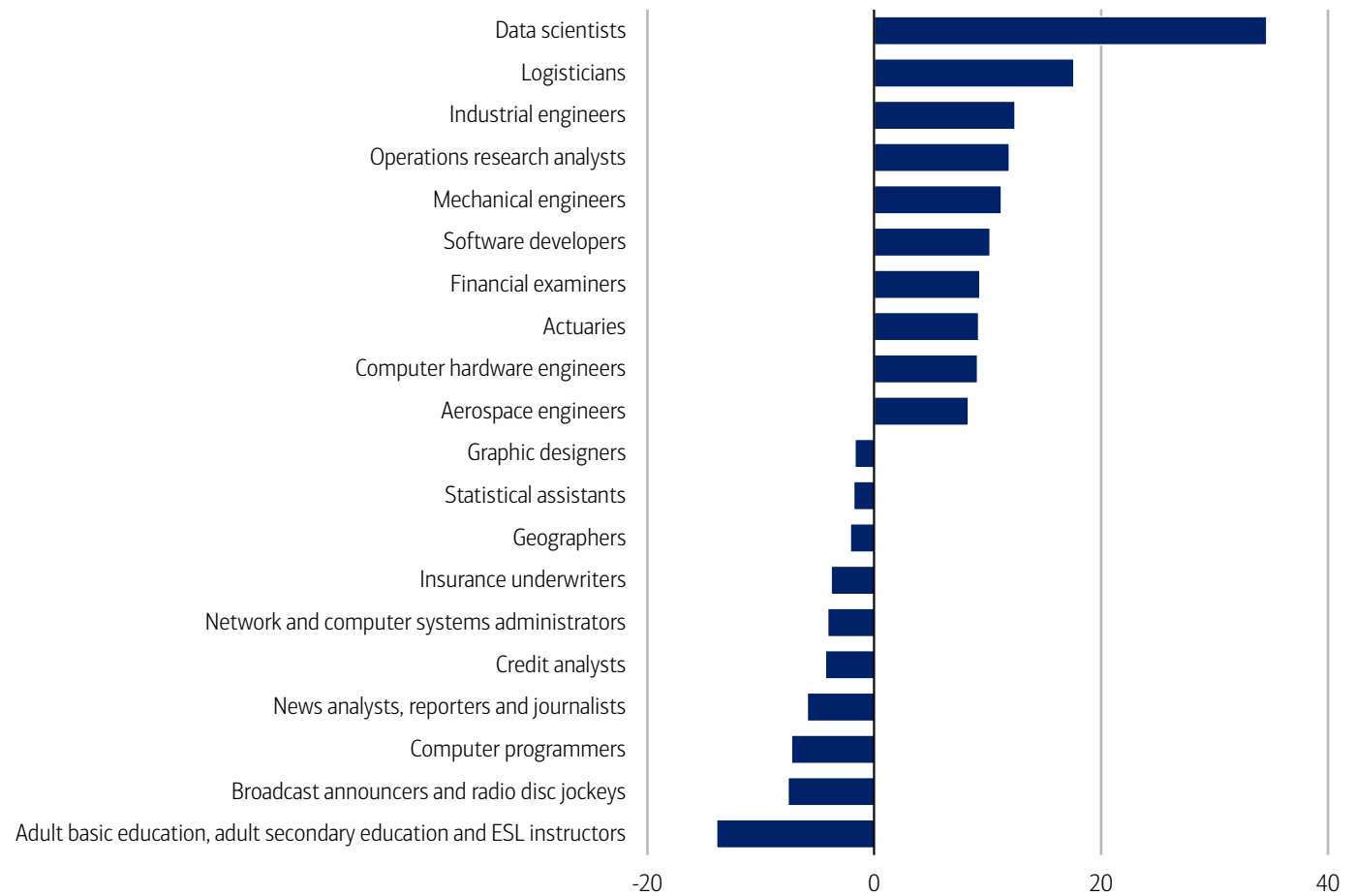
Younger workers also look potentially exposed because they are more likely to hold roles with automatable tasks and where AI adoption is occurring more rapidly (read more on Gen Z's labor market position in August's [Gen Z reality check](#)). Still, certain roles with very high AI exposure² for recent graduates are expected to have strong growth over the next ten years, according to BLS employment occupation projections (Exhibit 9).

¹ LinkedIn. (Aug 18, 2026). *New LinkedIn Research Finds Women Account for Just 26% of AI Hires as AI Jobs Surge*. LinkedIn.

² AI exposure indicates potential task transformation – not job loss.

Exhibit 9: Of those occupations with very high AI exposure* that require a bachelor's degree but no prior experience, data scientists have the strongest employment projection

2025-2035 select employment projections for occupations with very high AI exposure that require a bachelor's degree with no work experience in a related occupation (%)



Source: Bureau of Labor Statistics

*AI exposure indicates potential task transformation – not job loss.

Note: English as a second language (ESL).

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Median annual income growth is derived from customers who have a valid income value for every month over the time period and who have a non-null gender code. Gender data is self-select.

The Pay Disruption Rate is defined as the proportion of customers who previously had 12 months of regular payroll payments into their accounts, followed by at least 3 and up to 6 months of no payments, relative to the total number of customers with 12 consecutive months of payroll.

The job-to-job change rate (j2j rate) is defined as the proportion of customers with an identified change in their employer as a proportion of the total number of customers with employment income. We estimate the median pay rise associated with a j2j change using the pay in the first three months of the new job compared to the same three months a year ago who have a non-null gender code.

Generations, if discussed, are defined as follows: Gen Z, born after 1995; Younger Millennials: born between 1989-1995; Older Millennials: born between 1978-1988; Gen Xers: born between 1965-1977; Baby Boomer: 1946-1964; Traditionalists: pre-1946.

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Disclosures

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Economy

The Institute Employment Report: August 2026

03 September 2026

Key takeaways

- Bank of America customer deposit account data suggests labor market momentum cooled in August, with estimated payroll growth of 1.5% year-over-year (YoY), down from 1.8% in July.
- The long-standing "K" shape between higher- and lower-income households' after-tax wage growth has reversed: August saw lower-income households' after-tax wage growth of 4.7% YoY, while higher-income households' after-tax wage growth was 3.5% YoY.
- Recently, there has been an increase in job switching, and the pay change associated with a job change reached the highest level in more than three years in July. This acceleration is most notable among weekly-paid employees, suggesting rising mobility among hourly and lower-income workers may be contributing to the narrowing of wage growth differences.

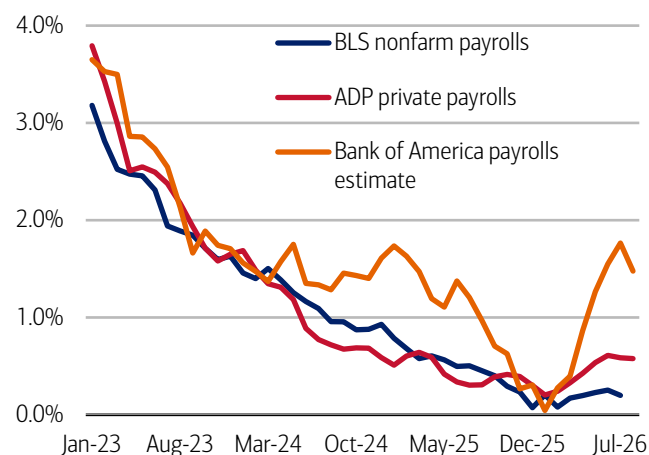
Jobs growth slowed in August

Our estimate of job growth – which uses Bank of America deposit data to track changes in the number of customer accounts receiving a paycheck (see Methodology) – slowed to 1.5% year-over-year (YoY) in August, down from 1.8% YoY in July. The data can be noisy, partly due to seasonal variation and differences in pay-period timing, but in our view, this suggests labor market momentum may have ebbed a little (Exhibit 1).

Still, the overall picture from the Bank of America jobs estimate is one of a relatively healthy labor market. This is also the case in Bank of America data on unemployment payments into customer accounts, which showed very little YoY change in August (Exhibit 2).

Exhibit 1: August payroll growth slowed in Bank of America deposit account data

Payroll estimates from Bank of America customer deposit account data (three-month moving average, % YoY), the Bureau of Labor Statistics (BLS) and Automatic Data Processing (ADP) (monthly, YoY)



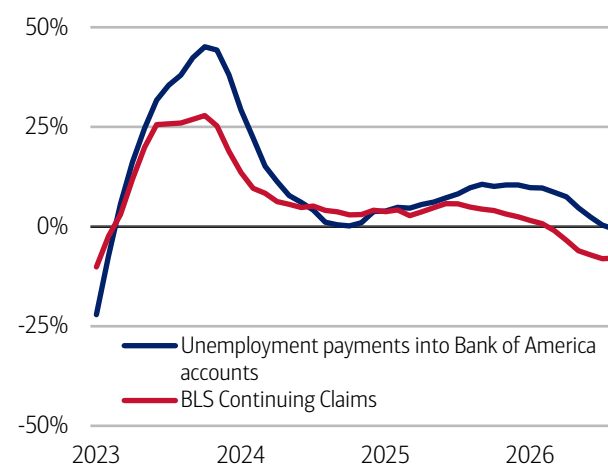
Source: Bank of America internal data, Haver Analytics

Note: BLS and ADP data are seasonally adjusted, Bank of America data is not seasonally adjusted.

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Exhibit 2: Unemployment payments showed little YoY change in August, according to Bank of America consumer deposit data

Number of households receiving unemployment payments (three-month moving average, YoY%, not seasonally adjusted (NSA)) and Bureau of Labor Statistics (BLS) Continuing Claims (three-month moving average, YoY%, seasonally adjusted (SA))



Source: Bank of America internal data

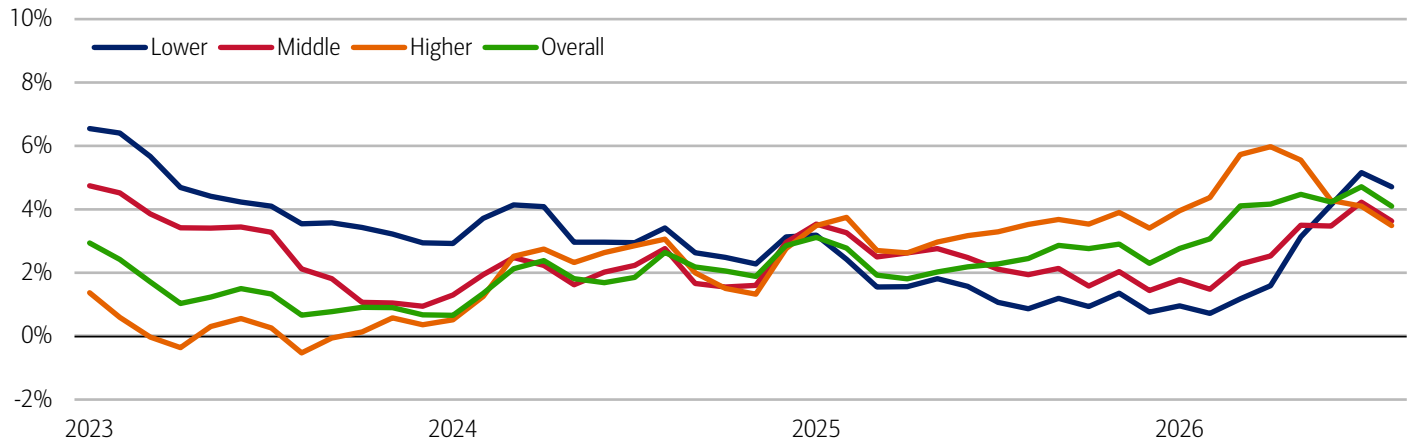
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August wage growth cooled, but lower-income households' relative gains continued

August saw some modest cooling in overall after-tax wage growth, according to Bank of America internal data, but the recent closing of the gap between higher- and lower-income households' wage growth remains. In fact, the long-standing "K" has now reversed: August saw lower-income households' after-tax wage growth of 4.7% YoY, while higher-income households' after-tax wage growth was 3.5% YoY (Exhibit 3).

Exhibit 3: After-tax wage growth cooled across income cohorts in August

After-tax wage and salary growth by household income terciles, based on Bank of America aggregated consumer deposit account data (three-month moving average, YoY%, SA)



Source: Bank of America internal data

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Job change rates have improved, especially for weekly-paid workers

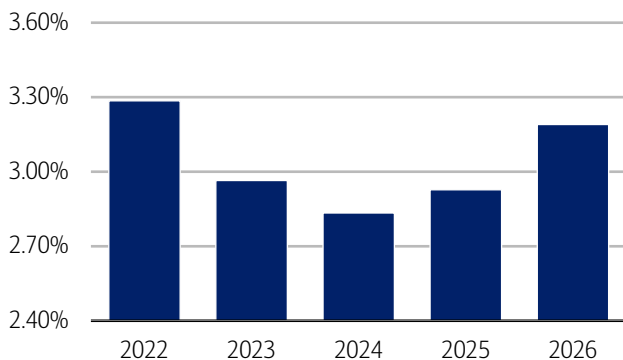
As we have discussed before, one potential explanation for the reversal in after-tax wage growth is lower tax withholding as a result of the One Big Beautiful Bill Act (OBBBA) stimulus (for more, read [The Institute Employment Report: July 2026](#)).

But in our view, a relative improvement in the labor market for lower-income workers may also be part of the story. In particular, Bank of America deposit account data indicates that the job change rate in July 2026 was significantly higher than in 2025, though falling a little short of the Great Resignation period of 2022 (Exhibit 4).

And when we look across customers with different pay frequencies, we find the largest YoY increases in the job change rate have come from those who are paid weekly (Exhibit 5). People paid weekly are often hourly workers and this corresponds with an increase in job switching seen among lower-income households (read more on this in May's [Should I stay or should I go? The pay tradeoff](#)).

Exhibit 4: The job change rate in July has climbed since 2024, although falls short of 2022

Job change rate in July (% , three-month average)

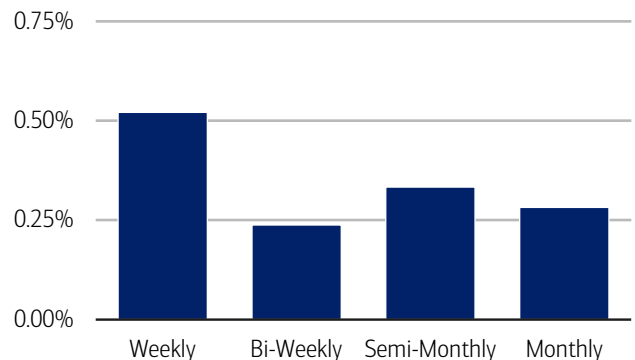


Source: Bank of America internal data

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Exhibit 5: The job change rate has risen the most for weekly-paid customers

Job change rate by pay frequency in July (three-month average, YoY percentage point change)



Source: Bank of America internal data

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Raises accelerate for weekly-paid job switchers

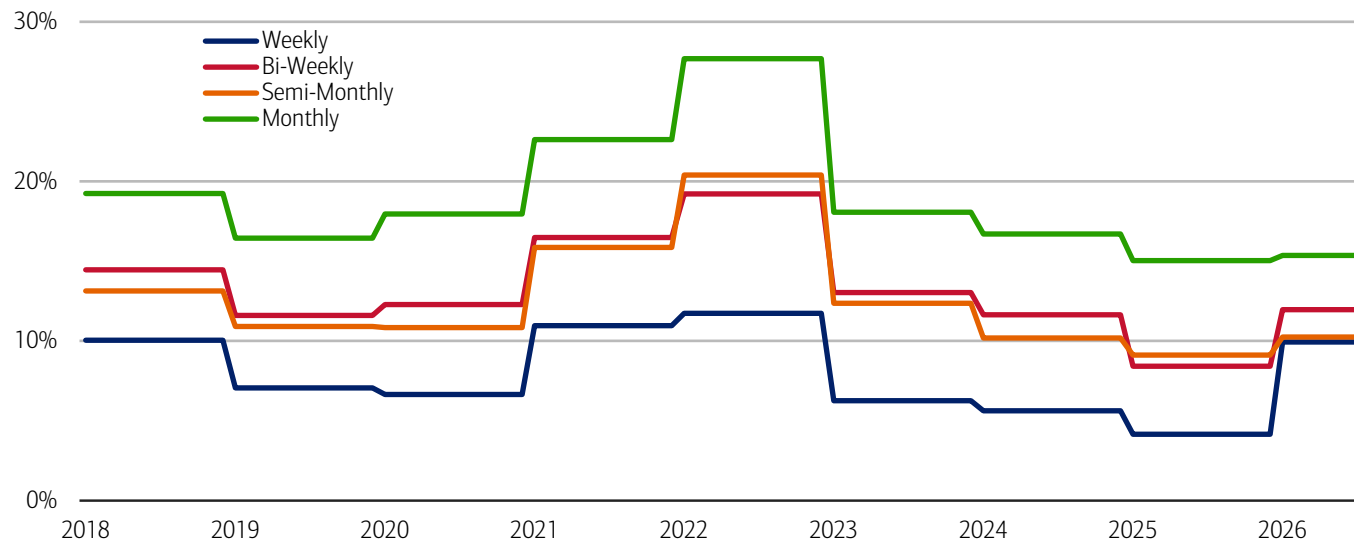
Job changes often come with a pay increase and in Bank of America customer account data, the pay change associated with a job change reached the highest level in more than three years in July 2026: 12.5% on a three-month moving average.

Interestingly, we also find a deviation across customers with different pay frequencies in the raises they get as a result of a job move. Those paid weekly have seen the strongest increase compared to last year, consistent with the increase in the rate of this group's job switching. On the other hand, those paid monthly have seen the smallest rate of increase year-to-date, though raises for this group remain at just over 15% (Exhibit 6).

So, in our view, because job switchers generally receive larger pay increases than workers who remain with their current employer, the rising rate of job switching amongst hourly and lower-income workers and the improved raises they get when they make a move is likely contributing to the recent narrowing of wage growth differences across income groups.

Exhibit 6: The jump in pay associated with a job change has been strongest year-to-date in jobs with weekly paychecks

Pay change associated with a job change by pay frequency (% annual average)



Source: Bank of America internal data

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Methodology

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Any payments data represents aggregated spend from US Retail, Preferred, Small Business and Wealth Management clients with a deposit account or credit card. Aggregated spend include total credit card, debit card, ACH, wires, bill pay, business/peer-to-peer, cash, and checks.

Any **Small Business** payments data represents aggregate spend from Small Business clients with a deposit account or a Small Business credit card. Payroll payments data include channels such as ACH (automated clearing house), bill pay, checks and wire. Bank of America per Small Business client data represents activity spending from active Small Business clients with a deposit account or a Small Business credit card and at least one transaction in each month. Small businesses in this report include business clients within Bank of America and generally defined as under \$5mm in annual sales revenue.

Unless otherwise stated, data is not adjusted for seasonality, processing days or portfolio changes, and may be subject to periodic revisions.

Bank of America aggregated credit/debit card spending per household includes spending from active US households only. Only consumer card holders making a minimum of five transactions a month are included in the dataset. Spending from corporate cards are excluded. Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

Lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between these terciles will move over time, reflecting any number of factors that impact income, including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

Generations, if discussed, are defined as follows: Gen Z, born after 1995; Younger Millennials: born between 1989-1995; Older Millennials: born between 1978-1988; Gen Xers: born between 1965-1977; Baby Boomer: 1946-1964; Traditionalists: pre-1946.

Estimate of payroll growth from Bank of America internal data is based on the change in customer accounts receiving a paycheck in the month. An adjustment is made for the difference between overall population growth and customer account growth. Occasionally historic payments can be reclassified, leading to revisions in the series.

An estimate of bonus growth from Bank of America deposit data is calculated by looking at customers who have received an inbound ACH payroll transaction in the last two years. From this sample an estimate of bonuses is derived by looking for payroll transactions which are over 50% higher than the median regular payroll payments received by the customer. Of these payments only those that were received around the same time in each of the last two years are selected.

The job-to-job change rate (j2j rate) is defined as the proportion of customers with an identified change in their employer as a proportion of the total number of customers with employment income. We estimate the median pay rise associated with a j2j change using the pay in the first three months of the new job compared to the same three months a year ago.

Additional information about the methodology used to aggregate the data is available upon request.

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Economy

Online betting platforms: What's the money line?

01 September 2026

Key takeaways

- Online betting adoption is accelerating. According to Bank of America consumer account data, the number of online betting users rose sharply this summer, with first-time users in June and July more than triple January levels. Activity is concentrated among younger consumers, with Gen Z and Millennials accounting for 88% of online betting activity in July.
- Based on observed inflows and outflows to these platforms, customer inflows averaged less than three-quarters of outflows during the period analyzed. While these figures may not capture winnings that remain on platforms, they suggest online betting is not currently functioning as a meaningful source of income for most bettors.
- In 2026, the median deposit account balance of households that participated in online betting was 59% of households that did not. With prediction markets rapidly expanding alongside traditional sports betting, this has prompted some to blur the lines between entertainment and investment, according to a Bank of America proprietary survey.

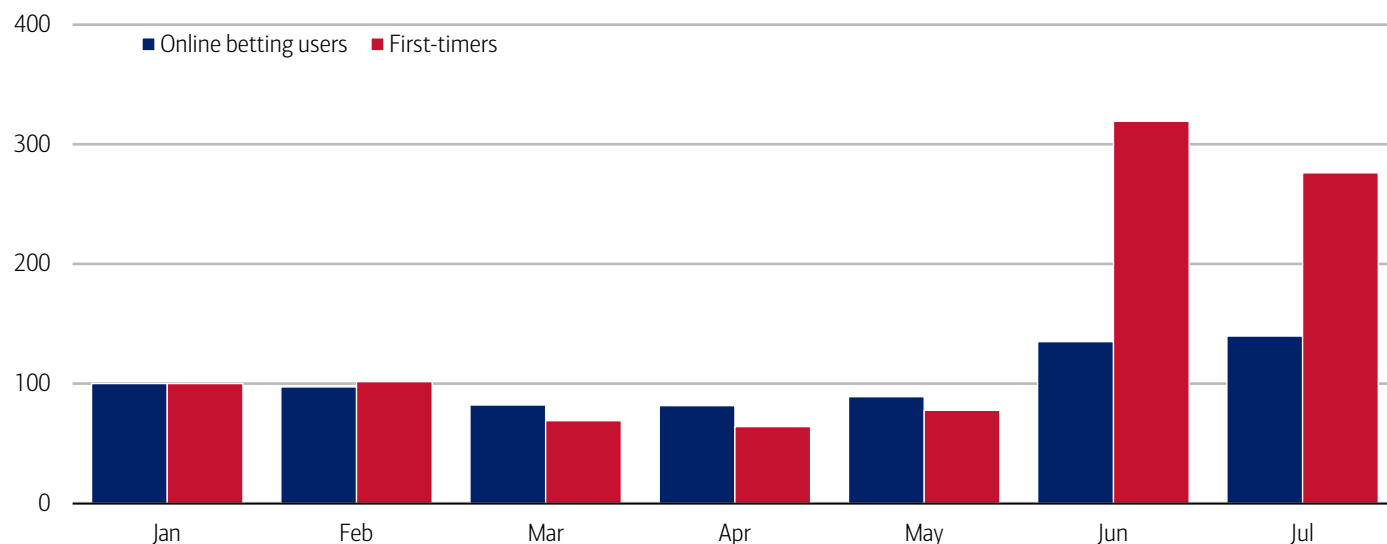
Place your bets – increasingly online

Increasingly, online betting appears to be gaining adoption. In this analysis, we identify online betting payments (automated clearing house (ACH), debit card and credit card) to and from companies that offer online betting platforms – namely prediction markets and sports betting. Note that this excludes online social gambling from typical casinos or other gaming platforms. See Methodology for more details.

According to Bank of America customer account data, around 5% of customers participated in online betting in July. Yet consumer adoption of online betting platforms has been rising rapidly and was up 40% in July compared to the start of the year (Exhibit 1). Perhaps more notably, the number of first-time (i.e. someone with a first-time payment to one of these platforms) online betting users jumped more than 3x that of January users in June and July. See Methodology for first-time users.

Exhibit 1: In June and July, the number of first-time online betting users jumped around 3x that of the start of the year

Online betting users (number of customers, index January 2026 = 100, monthly)



Source: Bank of America internal data

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Sports calendar drives spending

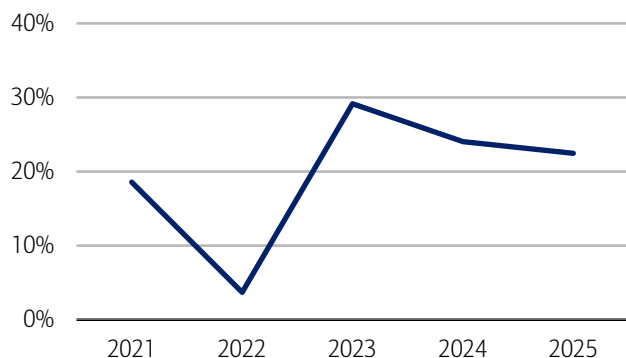
Some of the June/July peak was likely driven in part by promotions and buzz related to prediction markets as well as the FIFA World Cup 2026™ (read more on the economic impact of the World Cup in August's [On the ball](#)). Our analysis suggests online betting activity appears quite volatile and predominantly tied to the timing of major sporting events.

For example, the growth in first-time users is apparent in both the basketball and football seasons (both college and professional leagues), with the latter having seen 22% year-over-year (YoY) growth in the 2025 season (Exhibit 2). Football season is defined as September through February and therefore overlaps with other major league sports such as baseball and hockey.

According to a recent CivicScience survey, over a third of those who partake in online sports betting did so weekly and almost a quarter placed bets daily (Exhibit 3). Women were less likely to report doing so frequently (i.e. daily or weekly) compared to men.

Exhibit 2: First-time online betting users grew 22% YoY in the 2025 football season*

First-time online betting number of customers during football season* (annual, YoY%)



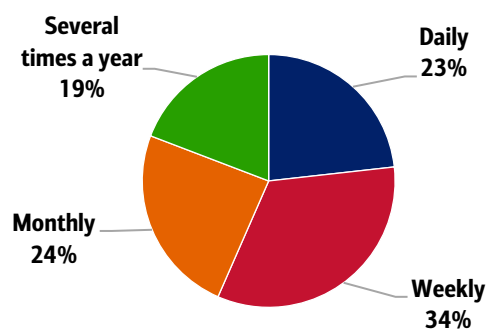
Source: Bank of America internal data

*Football season is defined as September through February.

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Exhibit 3: Over a third of those who partake in online sports betting do so weekly

How often do you partake in online sports betting? (% of respondents among sports bettors)



Source: CivicScience

Note: 4,559 Responses from June 1, 2025 to June 16, 2026.

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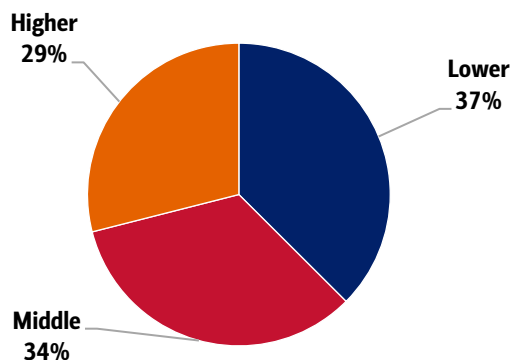
Gen Z doubles down

Who is placing the bets? According to Bank of America consumer account data, across income terciles, online betting activity is relatively evenly split, although lower-income households comprised a slightly larger share of online betting activity than other income groups (Exhibit 4).

However, by generation, online betting activity within Bank of America consumer account data is heavily skewed towards Gen Z and Millennials. In July, they comprised 88% of online betting activity (Exhibit 5). Notably, until June, Millennials accounted for a larger share of activity, suggesting Gen Z initiated a turning point in the composition of online bettors this summer.

Exhibit 4: Lower-income households comprised a slightly larger share of online betting activity than other income groups in July

Share of households with online betting activity in July by income (%)

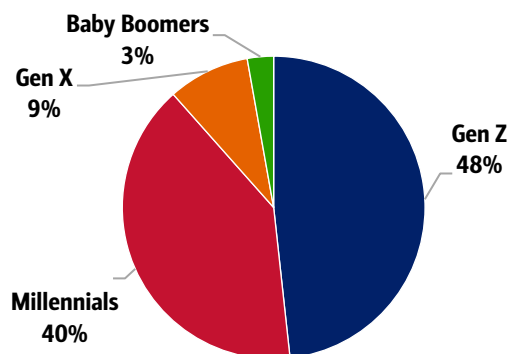


Source: Bank of America internal data

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Exhibit 5: Gen Z and Millennials comprised 88% of online betting activity in July

Share of customers with online betting activity in July by generation (%)



Source: Bank of America internal data

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The concentration of betting activity among Gen Z may reflect broader shifts toward app-based financial and entertainment experiences (read more on Gen Z behavior in August's [Gen Z reality check](#)). Younger consumers have generally been quicker to adopt emerging digital platforms, including crypto, buy now pay later (BNPL) products and online marketplaces (read more on online marketplace adoption in April's [Secondhand fashion piece](#)).

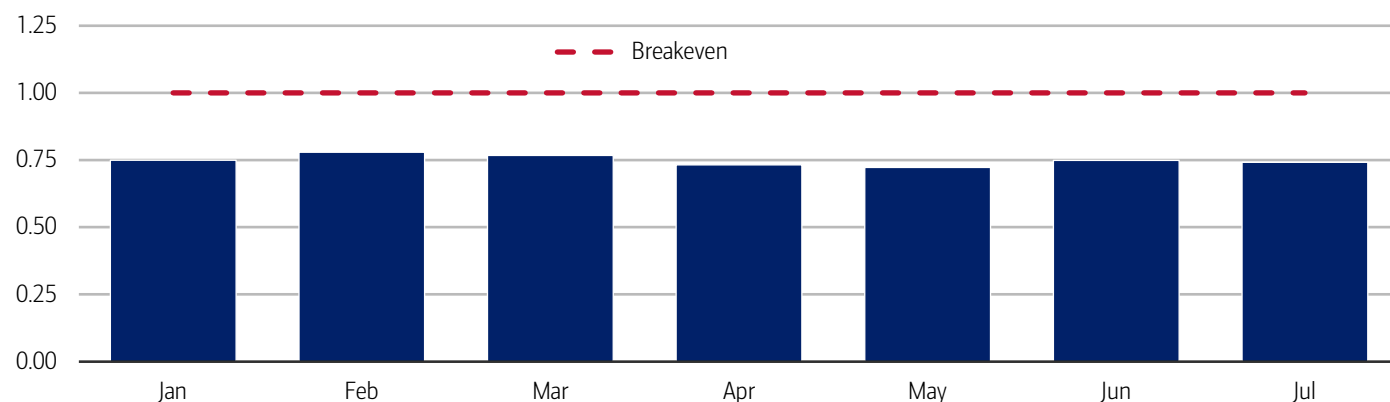
Are the odds in your favor?

With more consumers increasing their online betting activity, are they also bringing in extra income? Using Bank of America payments data, we measure the inflow-to-outflow payment ratio of customers placing bets. It is important to note that we can only see money deposited to and from these platforms each month and therefore may not capture winnings that remain on betting platforms and have not yet been withdrawn.

However, our analysis found the online betting cash recovery ratio has remained below 1, with total inflows less than three-quarters of total outflows on average for the duration of the series (Exhibit 6). In other words, customers typically recover less than 75 cents for every dollar transferred to online betting platforms.

Exhibit 6: The online betting cash recovery ratio has remained below 1, with total inflows less than three-quarters that of total outflows on average for the duration of the series

Online betting cash recovery ratio (monthly, 2026)



Source: Bank of America internal data

Note: A ratio less than 1 means inflow was less than outflow. These estimates should be interpreted as observed inflows and outflows to betting platforms rather than realized profitability, since winnings retained on-platform are not fully observable.

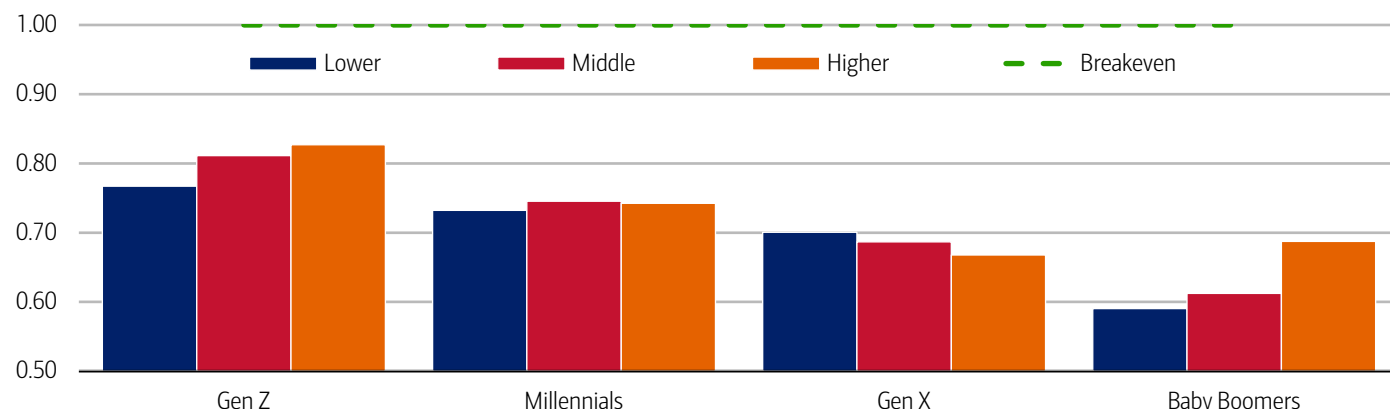
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Does Gen Z see online betting as a source of income?

Although Gen Z participants had the highest online betting cash recovery ratio across income groups, they still fell well short of breaking even (Exhibit 7). Despite seemingly recovering more than older generations, total inflows remained substantially below total outflows, suggesting that online betting is not a reliable or constant source of income.

Exhibit 7: While Gen Z still recovers less of what they spend, older generations have the lowest cash recovery ratio

Online betting cash recovery ratio by income and generation (July 2026)



Source: Bank of America internal data

Note: A ratio less than 1 means inflow was less than outflow. These estimates should be interpreted as observed inflows and outflows to betting platforms rather than realized profitability, since winnings retained on-platform are not fully observable.

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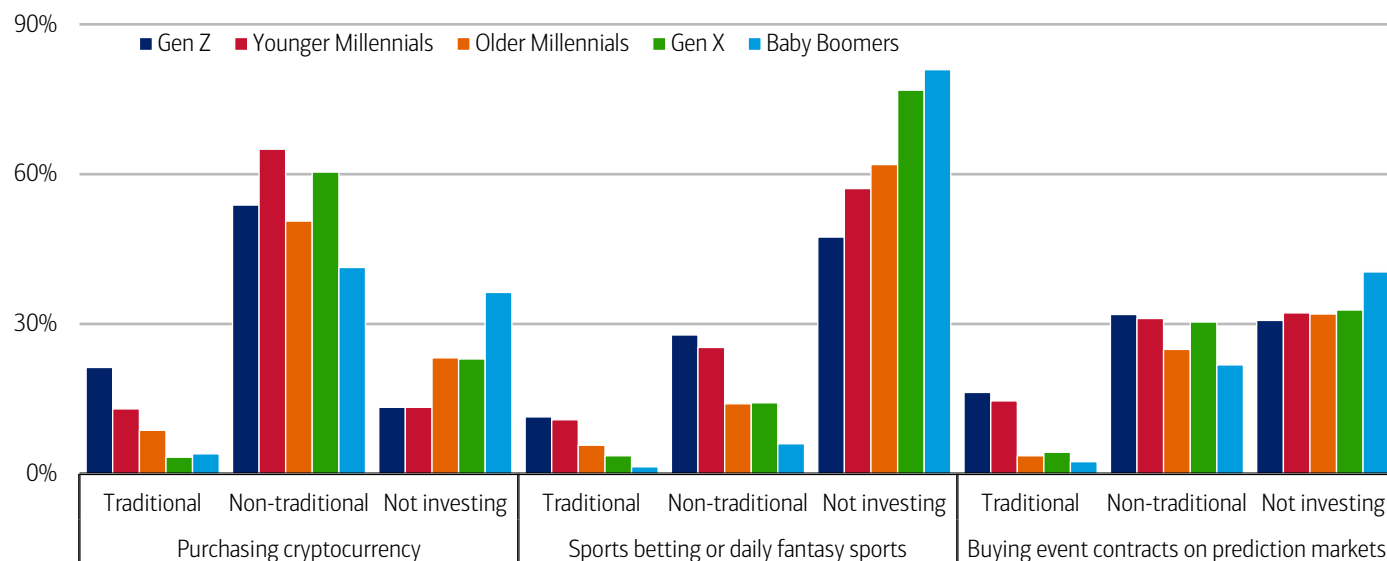
20% consider sports betting as a type of investment

Despite the lack of profitability, investing and betting appears increasingly blurred for some consumers. Prediction markets, crypto assets, retail trading and sports betting all share common features such as community participation and real-time pricing.

According to a Bank of America proprietary survey, 20% of respondents consider sports betting as a type of investment, although more consider it not a form of investing (Exhibit 8). Gen Z is twice as likely to consider sports betting as a form of investing; however, across all generations, buying event contracts on prediction markets was more likely to be considered an investment than sports betting.

Exhibit 8: Gen Z is more likely to consider buying event contracts on prediction markets or sports betting as a non-traditional form of investing

Classifications of investing activities (% of respondents by generation)



Source: Bank of America proprietary survey

Note: Survey conducted March 24-31, 2026 across 2,351 respondents.

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The financial spread widens

Does the financial health playbook look different between households who gamble versus those who don't? Yes, although some of this comes down to demographics.

Following the 2018 Murphy v. NCAA Supreme Court decision opening the door for states to legalize sports betting, according to a working paper from the National Bureau of Economic Research, as legalization went into effect, sports betting spread quickly, with both the number of participants and frequency of bets increasing over time. This increase did not displace other gambling or consumption but significantly reduced savings, as risky bets crowd out positive expected value investments.¹

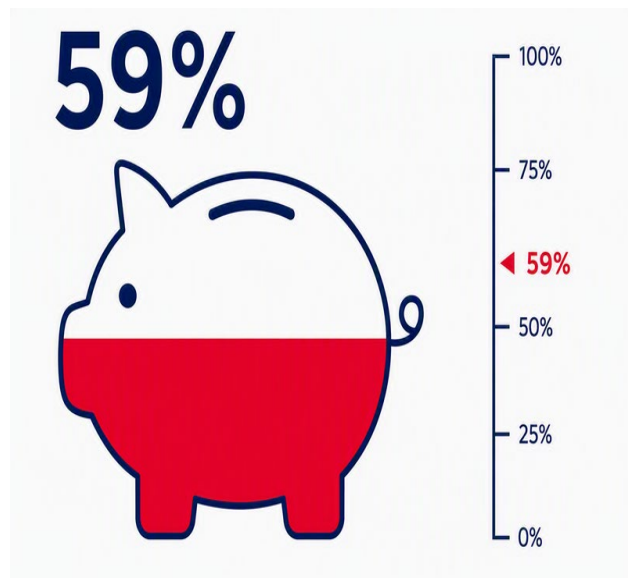
That same paper found these effects were concentrated among financially constrained households. Bank of America customer deposit account data found that of those households that participate in online betting in 2026, their median deposit account balances were only 59% of those who did not (Exhibit 9).

In addition to having lower median deposit balances, households with online betting activity have stronger total card spending growth excluding online betting (Exhibit 10). These households also had stronger spending growth in July across both discretionary and necessity items, though this could also be because younger and lower-income households spending growth has strengthened recently (read more on this in the [August Consumer Checkpoint](#)).

¹ Baker, S.R., Balthrop, J., Johnson, M.J., Kotter, J.D., & Pisciotta, K. (2024, November). *Gambling Away Stability: Sports Betting's Impact on Vulnerable Households*. National Bureau of Economic Research.

Exhibit 9: In 2026, the median deposit account balance of households that participated in online betting was 59% of that of households that did not

Median household deposit account balances in 2026 (share relative to non-betting households)

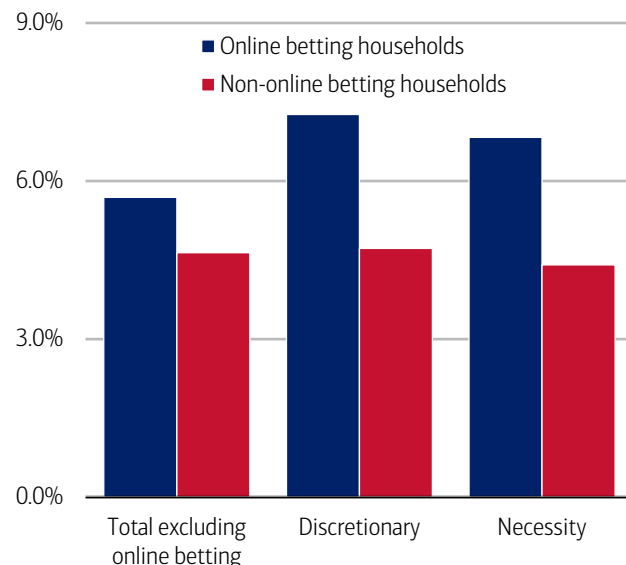


Source: Bank of America internal data

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Exhibit 10: Households with online betting activity had stronger spending growth in July across both discretionary and necessity items

Credit and debit card spending per household in July (YoY%, three-month moving average)



Source: Bank of America internal data

Note: Discretionary spending does include online betting.

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Policymakers enter the game with a possible new set of rules

While sports betting remains the dominant area within online betting, broader prediction markets appear to be attracting increasing consumer attention too. According to BofA Global Public Policy, wagers have been placed (or markets have been created) on almost everything: whether a political speaker will drink water on camera during a speech, the total flu cases predicted for the year, etc. These features have raised the question of whether such instruments function more like financial contracts or resemble forms of wagering under state law.

Prediction markets operate by listing standardized contracts – often referred to as event contracts – that pay out based on whether a specified outcome occurs (Exhibit 11). According to BofA Global Public Policy, the Commodities Futures Trading Commission (CFTC) argues that certain prediction market event contracts, when traded on federally regulated exchanges, constitute derivatives (classified as commodity interests under the Commodity Exchange Act (CEA)) and are therefore subject to federal oversight.

Exhibit 11: Prediction markets vary from both sports betting and other financial contracts

Comparison of prediction markets with futures and swaps

Dimension	Futures	Swaps	Prediction Markets
Core purpose	Hedge or manage exposure to future price movements	Manage exposure to variability in a defined reference	Aggregate views about whether a specified event will occur
Basic market structure	Exchange-traded, standardized	Contractual agreements, increasingly standardized and cleared	Exchange-traded, standardized event contracts
What determines payments	Changes in the price of an underlying asset	A defined reference (a specified variable or benchmark used to determine payments)	Whether a defined event or outcome occurs
Nature of exposure	Continuous exposure to price movements over time	Contingent cash flows based on contract terms	Discrete, event-based outcomes resolved at a point in time
Typical underlying reference	Prices, rates, financial indexes	Rates, indexes or other measurable variables	Real-world events
Primary regulatory focus and debate	Market integrity, risk management and systemic stability	Transparency, reporting and counterparty risk	Social impact and acceptability, and consumer protection, including whether oversight should rest with federal authorities, states, or both

Source: BofA Global Public Policy

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CFTC creates rulemaking around incentive programs

The CFTC recently implemented rulemaking around perpetual futures contracts (i.e. speculating an asset's price with no expiration date) and put out an advisory regarding incentive programs for event contract trading. Within this, the CFTC warned against sweepstakes-like or randomized reward programs, or prizes based on pure chance.

Growing concerns about the rapid rise of prediction markets have prompted lawmakers from both parties and chambers of Congress to introduce several bills aimed at establishing clearer federal rules, particularly around consumer protections. At the same time, many states and tribal regulators argue that some event contracts, especially those tied to sports and entertainment, closely resemble traditional gambling and should remain subject to existing state gaming, licensing and consumer protection laws.

According to BofA Global Research, the CFTC is aiming to make clearer distinctions between sports books and prediction markets highlighted by recent rule proposals and advisories regarding in-house market making, incentive programs and casino style odds.

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If applicable, the consumer deposit data based on Bank of America internal data is derived by anonymizing and aggregating data from Bank of America consumer deposit accounts in the US and analyzing that data at a highly aggregated level.

If applicable, any payments data represents aggregated spend from US Retail, Preferred, Small Business and Wealth Management clients with a deposit account or credit card. Any reference to aggregated AI spend include total credit card, debit card, ACH, or bill pay.

Online betting transactions conducted through Bank of America debit and credit card or ACH channels and online betting platforms are identified using industry-researched merchant names. Note that the scope of this series is limited to predominantly online sports betting, horse racing, and prediction markets.

First-time users are defined as customers making their first observed transaction in the category during the particular month, based on transaction records dating back to 2015.

Football season (defined as September through February) was selected as a measure as this captures a sizeable amount of online betting activity.

The measures in this report reflect customer payment flows to and from identified online betting platforms and should not be interpreted as a comprehensive measure of gambling activity, betting volume, customer profitability, or platform market share.

Generations, if discussed, are defined as follows: Gen Z, born after 1995; Younger Millennials: born between 1989-1995; Older Millennials: born between 1978-1988; Gen Xers: born between 1965-1977; Baby Boomer: 1946-1964; Traditionalists: pre-1946.

A Bank of America Market Insights Survey was conducted between March 24-31, 2026, among 2,351 respondents.

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